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Q#1 Naima has just finished school and is waiting to report to his new job at the beginning of the month. Naima is considered to be:

Options:

- A. Frictionally unemployed.
- B. Employed.
- C. Structurally unemployed.
- D. Cyclically unemployed.

Correct Option: A

Page Number(s): 143

Ref Sentence by VU Stars: Frictional unemployment occurs when a worker moves from one job to another. While he searches for a job he is experiencing frictional unemployment.

Q#2 "Index-linking" is very common in

Options:

- A. USA
- B. Australia
- C. Latin America
- D. South A

Correct Option: C

Page Number(s): 149

Ref Sentence by VU Stars: Countries where price inflation is very high often keep track of wage inflation rates to ensure that the real wage (which measures the purchasing power of workers) remains constant. The practice of linking wages to prices is called "index-linking" and is the norm in many Latin American countries.

Q#3 Percentage GDP gap is equal to:

Options:

- A. $(\text{Potential GDP} - \text{Actual GDP}) / \text{Actual GDP}$
- B. $(\text{Potential GDP} - \text{Actual GDP}) / \text{Potential GDP}$
- C. $(\text{Actual GDP} - \text{Potential GDP}) / \text{Potential GDP}$
- D. $(\text{Actual GDP} - \text{Potential GDP})$

Correct Option: C

Page Number(s): 161

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Ref Sentence by VU Stars: The percentage GDP gap is the actual GDP minus the potential GDP divided by the potential GDP. $(\text{Actual GDP} - \text{potential GDP}) / \text{Potential GDP}$.

Q#4 In 1971, Pakistan linked its currency, rupee to:

Options:

- A. Pound Sterling
- B. USA Dollar
- C. Japanese yen
- D. Kuwait Dinar

Correct Option: B

Page Number(s): 153

Ref Sentence by VU Stars: Before the 1970s, Pakistan linked its currency, rupee, to the Pound Sterling. With the economic influence of the USA getting more apparent, in 1971, Pakistan linked rupee to the U.S. Dollar.

Q#5 In 1920, Germany suffered from:

Options:

- A. Pure inflation
- B. Inflation
- C. Deflation
- D. Hyperinflation

Correct Option: D

Page Number(s): 148

Ref Sentence by VU Stars: The first country to suffer hyperinflation, and perhaps in its severest form, was Germany in the 1920s. The country was burdened with very high debt – linked to obligations taken on as a result of being defeated by the allies in the 1st World War. The German government could not find the resources to pay off the debt or the interest thereon and resorted to printing money. This, however, plunged the local economy into hyperinflation.

Q#6 According to Keynes, unemployment arises due to deficiency of

Options:

- A. Aggregate supply
- B. Aggregate demand

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C. None of above

D. Both

Correct Option: B

Page Number(s): 105

Ref Sentence by VU Stars: Unemployment was high and rising because the labour market equilibrium was moving further and further away from the full employment level. ... Keynes located the origins of unemployment in deficient aggregate demand.

Q#7 What will happen if exchange rate decreases from \$1 = Pak Rs. 85 to \$1 = Pak Rs. 65?

Options:

A. It will reduce imports of Pakistan.

B. Its imports and exports will remain unchanged.

C. It will increase exports of Pakistan.

D. It will decrease exports of Pakist

Correct Option: C

Page Number(s): 154

Ref Sentence by VU Stars: A devaluation attempts to bring the exchange rate in line with its long-run equilibrium level, i.e. a level consistent with international competitiveness. ... the NER can be devalued so as to make our goods cheaper and bring competitiveness back to its original higher level.

Q#8 The percentage annual increase in average price level is:

Options:

A. The rate of deflation

B. The rate of employment

C. The rate of unemployment

D. The rate of inflation

Correct Option: D

Page Number(s): 148

Ref Sentence by VU Stars: The rate of inflation is the percentage annual increase in average price level.

Q#9 The most commonly used index to calculate the inflation is:

Options:

A. Wholesale Price Index (WPI)

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- B. GDP Deflator
- C. Producer Price Index (PPI)
- D. Consumer Price Index (CPI)

Correct Option: D

Page Number(s): 149

Ref Sentence by VU Stars: The most commonly used index when referring to overall inflation in the economy is the retail or consumer price index (CPI).

Q#10 Measures the value of output during a given year using the prices prevailing during that year is:

Options:

- A. Real GDP
- B. Nominal effective exchange rate
- C. Nominal GDP
- D. Real exchange rate

Correct Option: C

Page Number(s): 121

Ref Sentence by VU Stars: Nominal GDP: The total market value, measured in current prices, of all goods and services produced within the political boundaries of an economy during a given period of time, usually one year. The key is that nominal gross domestic product is measured in current, or actual prices; the prices buyers actually pay for goods and services purchased.

Q#11 Falling inflation means that price level is rising at a(n):

Options:

- A. Fluctuating rate.
- B. Increasing rate.
- C. Decreasing rate.
- D. Constant Rate.

Correct Option: C

Page Number(s): 148

Ref Sentence by VU Stars: The rate of inflation is the percentage annual increase in average price level. Falling inflation means the rate of increase is decreasing.

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Q#12 When interest rate goes up, the level of Investment will:

Options:

- A. Decrease.
- B. Increase.
- C. Remain unchanged.
- D. First increase, then start decreasing.

Correct Option: A

Page Number(s): 128

Ref Sentence by VU Stars: The relationship between the interest rate on such borrowing and investment demand is obviously negative, i.e. as the interest rate goes up, investment demand decreases.

Q#13 A government its currency by actively buying it and selling foreign currencies through the foreign exchange market.

Options:

- A. Depreciate
- B. Appreciate
- C. Devalues
- D. Revalues

Correct Option: C

Page Number(s): 154

Ref Sentence by VU Stars: A government devalues its currency by actively selling it and buying foreign currencies through the foreign exchange market.

Q#14 The principle that states that a change in investment causes a magnified change in income is termed as the:

Options:

- A. Water paradox.
- B. Multiplier effect.
- C. Paradox of thrift.
- D. Saving theorem

Correct Option: B

Page Number(s): 131-132

Ref Sentence by VU Stars: The term $[1/(1-b)]$ is called the Keynesian multiplier ("k") and is the factor by

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which equilibrium output, income or expenditure increase in response to an increase in AD (caused by an increase in "a", G, I or X-M). The higher is b, the bigger is the multiplier.

Q#15 Devaluation of the currency encourages:

Options:

- A. Poverty.
- B. Imports.
- C. Inflation.
- D. Exports.

Correct Option: D

Page Number(s): 154

Ref Sentence by VU Stars: A devaluation attempts to bring the exchange rate in line with its long-run equilibrium level, i.e. a level consistent with international competitiveness. ... the NER can be devalued so as to make our goods cheaper and bring competitiveness back to its original higher level.

Q#16 A _____ occurs when a country purchases more from abroad than other countries purchase from it.

Options:

- A. Depreciation
- B. Trade deficit
- C. Trade balance
- D. Trade surplus

Correct Option: B

Page Number(s): 129

Ref Sentence by VU Stars: Trade balance is the excess of exports over imports. A negative trade balance is called a trade deficit.

Q#17 "Capital widening" means:

Options:

- A. Increasing the usage of existing capital.
- B. More capital per unit of labour.
- C. More capital and more labour, but with the same amount of capital per unit of labour.
- D. Importing capital from the developed world.

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Correct Option: C

Page Number(s): 164

Ref Sentence by VU Stars: Capital widening is a term used to describe the situation where capital stock is increasing at the same rate as the labour force, thus capital per worker remains constant.

Q#18 A growth rate for developed countries is considered normal if it is:

Options:

- A. Exactly 5%
- B. Above 4%
- C. Below 2%
- D. Between 2% to 3%

Correct Option: D

Page Number(s): 161

Ref Sentence by VU Stars: A growth rate of between 2-3% is considered normal for mature developed countries; for LICs, 5-7% is considered healthy and 7%+ excellent.

Q#19 A rise in government expenditure leads to a multiple rise in national income due to:

Options:

- A. Inelastic demand.
- B. Multiplier effect.
- C. Accelerator.
- D. Inelastic supply.

Correct Option: B

Page Number(s): 131-132

Ref Sentence by VU Stars: The term $[1/(1-b)]$ is called the Keynesian multiplier ("k") and is the factor by which equilibrium output, income or expenditure increase in response to an increase in AD (caused by an increase in "a", G, I or X-M).

Q#20 If output gap is negative then:

Options:

- A. Economy will be in recession
- B. It will have positive impact on economy
- C. It will have no impact on economy

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D. Economy will be in expansion

Correct Option: A

Page Number(s): 161

Ref Sentence by VU Stars: The GDP gap or the output gap is the difference between actual GDP and potential GDP or potential output. The calculation for the output gap is $Y - Y^*$ where Y is actual output and Y^* is potential output or the natural level of output. If this calculation yields a positive number it is called an expansionary gap and indicates an economy in expansion; if the calculation yields a negative number it is called a recessionary gap and indicates an economy in recession.

Q#21 Agents erroneously spend more than they should, because:

Options:

- A. None of the given options is true
- B. Government is not driven actual inflation in period t as expected in period $t-1$
- C. Government driven actual inflation in period $t-1$ as expected in period t
- D. Government driven actual inflation in period t as expected in period $t-1$

Correct Option: D (Google)

Page Number(s): N/A

Ref Sentence by VU Stars: Not found in uploaded VU Handouts.

Q#22 What refers to the permanent effects of a temporary change?

Options:

- A. Hypothesis
- B. Collusion
- C. Hysteresis
- D. Clotheslines

Correct Option: C

Page Number(s): 148

Ref Sentence by VU Stars: Hysteresis refers to the permanent effects of a temporary change.

Q#23 Revaluation is known as:

Options:

- A. The act of less or more permanent increase in the value of price by government
- B. The act of decreasing the price of one country's currency in terms of other currencies by the government

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- C. The act of increasing the price of one country's currency in terms of other currencies by the government
D. The act of less or more permanent decrease in the value of price by government

Correct Option: C

Page Number(s): 154

Ref Sentence by VU Stars: Revaluation: This is the act of increasing the price (exchange rate) of one nation's currency in terms of other currencies. This is done by the government if it wants to raise the price of the country's exports and lower the price of foreign imports.

Q#24 Is GDP an accurate measure of a country's well being?

Options:

- A. No, it is not.
B. Yes, provided we use real GDP and not nominal GDP.
C. Yes, it is the best measure of national well being.
D. Uncertain, depending on whether GDP is rising or falling.

Correct Option: A

Page Number(s): 122-123

Ref Sentence by VU Stars: There are many caveats with a GDP based measure of national income. i. GDP by definition excludes productive activities in the informal economy. ii. GDP cannot include the black or illegal economy. iii. A GDP-based measure of welfare or living standards also needs to be corrected for externalities.

Q#25 Real GDP:

Options:

- A. Measures GDP minus depreciation of capital.
B. Is also called nominal GDP.
C. Is nominal GDP adjusted for changes in the price level.
D. Will always change when prices change.

Correct Option: C

Page Number(s): 121

Ref Sentence by VU Stars: Real GDP: The total market value, measured in constant prices, of all goods and services produced within the political boundaries of an economy during a given period of time, usually one year. The key is that real gross domestic product is measured in constant prices, the prices for a specific base

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year. Real gross domestic product, also termed constant gross domestic product, adjusts gross domestic product for inflation.

Q#26 The average propensity to save is the ratio of:

Options:

- A. Total saving to a change in disposable income.
- B. A change in saving to total disposable income at a specific income level.
- C. Total saving to total disposable income at a specific income level.
- D. A change in saving to a change in disposable income.

Correct Option: C

Page Number(s): 126

Ref Sentence by VU Stars: Average propensity to save (APS) is the ratio of total saving to total disposable income.

Q#27 Which of the following factors would shift aggregate demand curve to the right?

Options:

- A. Increase in consumption expenditures
- B. Decrease in government expenditures
- C. Increase in taxes
- D. Decrease in business investment

Correct Option: A

Page Number(s): 109

Ref Sentence by VU Stars: AD shifts to the right when any component of AD increases autonomously; e.g., if a) Consumers become more willing to spend at every price level; b) There are autonomous increases in investment due to better business prospects; c) The government spends more, or reduces taxes; d) Net exports rise at all prices.

Q#28 The price at which firms sells its final output to the consumers is called:

Options:

- A. Product price
- B. Market price
- C. Factor price Page 120
- D. None of these

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Correct Option: C

Page Number(s): 120

Ref Sentence by VU Stars: Factor price is the price at which firm sells its final output to the consumers.

Q#29 Which of the following summarizes all the international economics transactions for a country during a specific time period?

Options:

- A. Interest rate
- B. Inflation rate
- C. Balance of trade
- D. Balance of payments

Correct Option: D

Page Number(s): 152

Ref Sentence by VU Stars: The balance of payments (or BOP) measures the payments that flow between any individual country and all other countries. It is used to summarize all international economic transactions for that country during a specific time period, usually a year.

Q#30 Inflation is measured on the basis of

Options:

- A. Marshall's Index
- B. Whole Sales Index
- C. Consumer Price Index
- D. Consumer Borrowing Rate Index

Correct Option: C

Page Number(s): 149

Ref Sentence by VU Stars: The most commonly used index when referring to overall inflation in the economy is the retail or consumer price index (CPI).

Q#31 Contentious movement of production, income and resources between producers and consumers is known as:

Options:

- A. Inflation
- B. Investment

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C. Circular flow Page 124

D. Consumption

Correct Option: C

Page Number(s): 124

Ref Sentence by VU Stars: Circular flow refers to the continuous movement of production, income, and resources between producers and consumers.

Q#32 ----- is an accounting record of a country's transactions with rest of the world.

Options:

A. Rate of inflation

B. Balance of trade

C. Trade liberalization

D. Balance of payment Page 152

Correct Option: D

Page Number(s): 152

Ref Sentence by VU Stars: BOP is an accounting record of a country's transactions with the rest of the world.

Q#33 For a firm buying labor competitively, the marginal input cost is equal to the:

Options:

A. Wage

B. Interest rate

C. Price of output

D. Cost of raw materials

Correct Option: A

Page Number(s): 93

Ref Sentence by VU Stars: The wage rate is the marginal cost of labour to the firm and is directly proportional to the hours worked.

Q#34 A demand curve is price elastic when:

Options:

A. Total revenue increases due to increase in price.

B. Changes in demand are equal to changes in price.

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C. Changes in demand are proportionately smaller than changes in price.

D. Changes in demand are proportionately greater than changes in price.

Correct Option: D

Page Number(s): 28

Ref Sentence by VU Stars: Elastic demand means when price of any product increases, its demand decreases more than the increase in price. ... $E > 1$.

Q#35 If there is a price ceiling, there will be:

Options:

A. Surpluses

B. Shortages

C. Equilibrium

D. Decrease in production

Correct Option: B

Page Number(s): 17

Ref Sentence by VU Stars: If a price ceiling is placed below the market-clearing price, as P_c , the market-clearing or equilibrium price of P_e becomes illegal. At the ceiling price, buyers want to buy more than sellers will make available.

Q#36 Which of the following is TRUE for a monopolistically competitive firm in the short run equilibrium??

Options:

A. It will make positive profit.

B. Any of the given is possible.

C. It will make zero profit (break-even).

D. It will make negative profit (lose money).

Correct Option: B

Page Number(s): 79

Ref Sentence by VU Stars: In the short run, super normal profits are possible, but, in long run only normal profits can be earned.

Q#37 What would result from a depreciation of the pound on the foreign exchange market??

Options:

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- A. A fall in the price of imported computers.
- B. An increase in the price of imported computers.
- C. A fall in the purchasing power of US tourists in London.
- D. An increase in the purchasing power of UK tourists overseas.

Correct Option: B

Page Number(s): 154

Ref Sentence by VU Stars: Conversely if there is an excess demand for dollars in the market, then this pushes the exchange rate up (i.e. more rupees will now be needed to buy one dollar). In other words, the rupee depreciates. A depreciation means more pounds are needed to buy foreign currency, making imports more expensive.

Q#38 In measurement of GDP, the problem of double counting is avoided by:

Options:

- A. Using GDP deflator.
- B. Calculating value added at each stage of production.
- C. Adjusting the value of only finished goods with prices.
- D. Adjusting the value of intermediate goods with prices.

Correct Option: B

Page Number(s): 118-119

Ref Sentence by VU Stars: The product or value added method which sums the value added by all the productive entities in the economy. Value added is the difference between the value of goods produced and the cost of materials and supplies used in producing them.

Q#39 Suppose Ali derives total utility equals to 10 utils from the consumption of 1 bottle of Pepsi. When he consumes another bottle of Pepsi, he gets total utility equals 25 utils. His marginal utility in this case will be:?

Options:

- A. 15 utils
- B. 25 utils
- C. 35 utils
- D. 2.5 utils

Correct Option: A

Page Number(s): 40

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Ref Sentence by VU Stars: Marginal utility (MU) is the additional utility derived from the consumption of one or more unit of the good. $MU = 25 - 10 = 15$ utils.

Q#40 Suppose a firm hires five workers and offers them to pay Rs. 350 for 6 hours. Later on, firm decides to increase working hours instead of hiring new workers. As working hours increase, the wage rate:

Options:

- A. Increases
- B. Decreases
- C. Remains unchanged
- D. First decreases then increases

Correct Option: A

Page Number(s): 93

Ref Sentence by VU Stars: As the supply of hours of labor increases, wage rate should also be increased. The relationship between hours provided by labor and wage rate is positive.

Q#41 Which of the followings describe agents?

Options:

- A. All of the given options are true
- B. Individual firm
- C. Individual consumer
- D. Individual laborer

Correct Option: A

Page Number(s): 1

Ref Sentence by VU Stars: We the people: includes firms, households and the government.

Q#42 What is a real-world example of an oligopolistic industry?

Options:

- A. Farmers' markets
- B. Street food vendors
- C. Smartphone manufacturing
- D. Local hair salons

Correct Option: C

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Page Number(s): 72

Ref Sentence by VU Stars: Oligopoly: Cement, cars, electrical appliance, oil.

Q#43 Followings are the disadvantages of monopoly EXCEPT:

Options:

- A. Monopolists produce high quality goods at higher prices.
- B. Monopolists earn higher profits.
- C. Monopolists do not pay sufficient attention to increase efficiency.
- D. Most of the “surplus” (producer + consumer surplus) accrues to monopolists.

Correct Option: A

Page Number(s): 76

Ref Sentence by VU Stars: Disadvantages of monopolies: i. Monopolists produce lower quantities at higher prices compared to perfectly competitive firms. ii. Monopolists earn supernormal profits compared to perfectly competitive firms iii. Most of the “surplus” (producer + consumer surplus) accrues to monopolists. iv. Monopolists do not pay sufficient attention to increasing efficiency in their production processes.

Q#44 Which of the following is NOT an injection into the circular flow of income?

Options:

- A. Consumption
- B. Imports
- C. Investment
- D. Government spending

Correct Option: B

Page Number(s): 124

Ref Sentence by VU Stars: A leakage or withdrawal is any use of the income received by households that does not return as revenue to domestic firms. Savings, taxes and imports are examples of leakages.

Q#45 If the monopolist earns profit then government can regulate this situation through:

Options:

- A. Subsidies
- B. Both taxes and subsidies
- C. None of the given options is true
- D. Taxes

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Correct Option: D

Page Number(s): 77

Ref Sentence by VU Stars: If the monopolist makes a profit then a tax is warranted.

Q#46 Oligopoly differs from monopolistic competition in that an oligopoly includes:

Options:

- A. Product differentiation.
- B. No barriers to entry.
- C. Barriers to entry.
- D. Downward sloping demand curves facing the firm.

Correct Option: C

Page Number(s): 72

Ref Sentence by VU Stars: Oligopoly: Few firms, Restricted entry.

Q#47 Keeping in view the model of aggregate supply and aggregate demand, in the long run, a decrease in the money supply should cause:

Options:

- A. Both prices and output to fall.
- B. Prices to fall and output to remain unchanged.
- C. Prices to rise and output to remain unchanged.
- D. Both prices and output to rise.

Correct Option: B

Page Number(s): 110

Ref Sentence by VU Stars: The Classical Aggregate Supply (AS) curve ... Shifts in AD curve would have no effect on AS or on output level in the classical world. Any shift in AD curve will cause only change in the price level but output will not change.

Q#48 In an oligopolistic market, firms are interdependent. What does this mean?

Options:

- A. Firms are not affected by each other's actions.
- B. Firms consider and react to competitors' decisions.
- C. Firms merge to form a monopoly.
- D. Firms cooperate without competition.

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Correct Option: B

Page Number(s): 81

Ref Sentence by VU Stars: Because there are few participants in this type of market, each oligopolist is aware of the actions of the others. The decisions of one firm influence, and are influenced by the decisions of other firms. Strategic planning by oligopolists always involves taking into account the likely responses of the other market participants.

Q#49 Suppose the consumption function is $C = 350 + 0.5 Y_d$. If the value of disposable income is Rs. 13000 then total consumption equals:

Options:

- A. Rs. 6950.
- B. Rs. 6450.
- C. Rs. 6150.
- D. Rs. 6850

Correct Option: D

Page Number(s): 126

Ref Sentence by VU Stars: The consumption function is a schedule relating total consumption to personal disposable income. It usually takes the form $C = a + bY_d$. $C = 350 + 0.5(13000) = 350 + 6500 = 6850$.

Q#50 Which market structure is characterized by a few major firms dominating the industry?

Options:

- A. Perfect competition
- B. Oligopoly
- C. Monopolistic competition
- D. Monopoly

Correct Option: B

Page Number(s): 72

Ref Sentence by VU Stars: Oligopoly: Few firms, Restricted entry.

Q#51 Foreign interest rate plus expected depreciation is equal to:

Options:

- A. Capital account deficit
- B. Domestic interest rate

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- C. Current account deficit
- D. Consumer budget deficit

Correct Option: B

Page Number(s): 160

Ref Sentence by VU Stars: $i_D \approx i_F + \Delta E_e$ Domestic interest rate = Foreign interest rate + Expected depreciation.

Q#52 The government has a balanced budget if its total revenues are:

Options:

- A. Less than its total expenditures.
- B. Equal to its marginal expenditures.
- C. Equal to its total expenditures.
- D. Greater than its total expenditure

Correct Option: C

Page Number(s): 129

Ref Sentence by VU Stars: T-G is referred to as the fiscal balance. If $G > T$, there is a fiscal or budget deficit; if $G < T$, there is a fiscal or budget surplus. If $G = T$, there is a balanced budget.

Q#53 Japan and Korean economy remained in high current account deficit due to:

Options:

- A. Low government budget deficit
- B. Low private sector resource deficit
- C. High private sector resource deficit
- D. High government budget deficit

Correct Option: C

Page Number(s): 160

Ref Sentence by VU Stars: Japan and Korean economy remained in high current account deficit due to high private sector resource deficit. This deficit arises when firms want to invest more and debts that are taken to finance the current account deficit go for the investment of the firms.

Q#54 Which of the following is the formula to calculate unemployment rate?

Options:

- A. Number of employed persons / labour force x 100.

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B. $(\text{Number of unemployed persons} / \text{labour force}) \times 100$.

C. None of the given options.

D. Number of unemployed persons + labour force.

Correct Option: B

Page Number(s): 142

Ref Sentence by VU Stars: The unemployment rate is defined as the ratio of the no. of unemployed people divided by the sum of the employed and unemployed people.

Q#55 The primary reason of decline in the value of money is:

Options:

A. Inflation.

B. Higher tax rate.

C. A rise in consumption.

D. Deflation.

Correct Option: A

Page Number(s): 149

Ref Sentence by VU Stars: Inflation redistributes income away from those on fixed incomes... The value of money is eroded over time by inflation.

Q#56 In Keynesian economics, a deflationary gap occurs when aggregate expenditures are:

Options:

A. Undetermined.

B. Greater than aggregate production.

C. Equal to aggregate production.

D. Less than aggregate production.

Correct Option: D

Page Number(s): 130

Ref Sentence by VU Stars: A deflationary gap could result if, starting from the full employment level, there was a reduction in G.

Q#57 Inverse relationship between the inflation rate and the unemployment rate is explained by:

Options:

A. Phillips Curve.

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- B. Okun law.
- C. Price adjustment curve.
- D. Aggregate demand curve.

Correct Option: A

Page Number(s): 149-150

Ref Sentence by VU Stars: The Phillips curve tradeoff can be summarized as follows: Lower unemployment can be achieved only at the cost of higher inflation.

Q#58 When too much money, chases too few goods, the resulting inflation is called

Options:

- A. Stagflation
- B. Deflation
- C. Cost Push Inflation
- D. Demand Pull Inflation

Correct Option: D

Page Number(s): 149

Ref Sentence by VU Stars: Keynes sees inflation and unemployment as opposite sides of the same coin, so is merely a result of excessive aggregate demand (demand-pull inflation).

Q#59 According to the quantity theory of money, if there is inflation, what must have caused it?

Options:

- A. An increase in the money supply
- B. Increased velocity
- C. Higher oil prices
- D. Higher budget deficits

Correct Option: A

Page Number(s): 152

Ref Sentence by VU Stars: Quantity Theory of Money (QTM), which provided an explanation for inflation totally independent from that for unemployment. QTM states: $MV = PQ$... Assuming a constant V and a stable (natural rate) output Q^* , changes in P could be explained totally by changes in M.

Q#60 Investment expenditures are expenditures made by the _____ sector:

Options:

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- A. Household
- B. Foreign
- C. Government
- D. Business

Correct Option: D

Page Number(s): 124

Ref Sentence by VU Stars: Injections are payments to firms not originating from households: government spending, firms' investment and exports are all examples of injections into the circular flow.

Q#61 Which of the following is likely to happen in a boom period?

Options:

- A. Imports are likely to grow.
- B. Demand is likely to fall.
- C. Prices are likely to fall.
- D. Unemployment is likely to fall

Correct Option: D

Page Number(s): 170

Ref Sentence by VU Stars: In the expansionary phase of the trade cycle (i.e. just following a recession), AD grows rapidly, the gap between actual and potential output narrows and unemployment (of the demand-deficient sort) falls.

Q#62 Which of the following is an injection into the circular flow of income?

Options:

- A. Taxes
- B. Imports
- C. Saving
- D. Exports

Correct Option: D

Page Number(s): 124

Ref Sentence by VU Stars: Injections are payments to firms not originating from households: government spending, firms' investment and exports are all examples of injections into the circular flow.

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Q#63 change in expenditure is less but change in income is higher due to

Options:

- A. Inelastic demand
- B. Multiplier effect
- C. Accelerator
- D. Paradox of thrift

Correct Option: B

Page Number(s): 133

Ref Sentence by VU Stars: Change in expenditures is less but change in income is higher due to the multiplier effect.

Q#64 A growth rate for lower income countries (LIC's) is considered healthy if it is:

Options:

- A. Between 5% to 7%
- B. Exactly 3%
- C. Above 8%
- D. Below 2%

Correct Option: A

Page Number(s): 161

Ref Sentence by VU Stars: A growth rate of between 2-3% is considered normal for mature developed countries; for LICs, 5-7% is considered healthy and 7%+ excellent.

Q#65 Government driven actual inflation in period t as expected in period t-1, and then agents erroneously spend more than they should, because:

Options:

- A. Agents view the decrease as real rather than nominal
- B. Agents view the decrease as nominal rather than real
- C. Agents view the increase as real rather than nominal
- D. Agents view the increase as nominal rather than real

Correct Option: C

Page Number(s): 152

Ref Sentence by VU Stars: Money illusion is when agents base their decisions on their expectations about inflation (set in period t-1), so that when government driven actual inflation (increase in prices and wages) in

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period t exceeds expected inflation, agents view the increase as real rather than nominal, and therefore erroneously spend more than they should.

Q#66 If there is an excess demand for dollars in the market then it will:

Options:

- A. Not affect the exchange rate
- B. Push the exchange rate down
- C. Push the exchange rate up
- D. Increase poverty

Correct Option: C

Page Number(s): 155

Ref Sentence by VU Stars: Conversely if there is an excess demand for dollars in the market, then this pushes the exchange rate up (i.e. more rupees will now be needed to buy one dollar).

Q#67 Falling inflation means that price level is rising at a(n):

Options:

- A. Fluctuating rate.
- B. Increasing rate.
- C. Constant Rate.
- D. Decreasing rate.

Correct Option: D

Page Number(s): 148

Ref Sentence by VU Stars: The rate of inflation is the percentage annual increase in average price level. Falling inflation means the rate of increase is decreasing.

Q#68 Which of the following reflects greater consumer satisfaction?

Options:

- A. Revaluation
- B. Concessionaire
- C. Devaluation
- D. Appreciation

Correct Option: D

Page Number(s): 154

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Ref Sentence by VU Stars: Appreciation is only those price increases that reflect greater consumer satisfaction and thus value.

Q#69 Measures the value of output during a given year using the prices prevailing during that year is:

Options:

- A. Real exchange rate
- B. Nominal GDP
- C. Nominal effective exchange rate
- D. Real GDP

Correct Option: B

Page Number(s): 121

Ref Sentence by VU Stars: Nominal GDP: The total market value, measured in current prices, of all goods and services produced within the political boundaries of an economy during a given period of time, usually one year.

Q#70 Which of the following is TRUE about current account deficit?

Options:

- A. None of the given options.
- B. Private sector resource deficit.
- C. Government budget deficit.
- D. Private sector resource deficit + Government budget deficit.

Correct Option: D

Page Number(s): 160

Ref Sentence by VU Stars: Current account deficit = Private sector resource deficit + Government budget deficit.

Q#71 If there is less demand for dollars in the market then it will:

Options:

- A. Push the exchange rate up.
- B. Increase poverty.
- C. Not affect the exchange rate.
- D. Push the exchange rate down.

Correct Option: D

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Page Number(s): 155

Ref Sentence by VU Stars: If there is an excess supply of dollars, the price of the dollar falls (i.e. less rupees are required to purchase one dollar). In other words, the rupee appreciates vis-à-vis the dollar.

Q#72 The investment demand curve shows the relationship between the levels of:

Options:

- A. Investment and interest rate.
- B. Investment and consumption.
- C. Investment and saving.
- D. Consumption and interest rate.

Correct Option: A

Page Number(s): 128

Ref Sentence by VU Stars: The investment demand curve shows the relationship between the level of investment and the cost of borrowing for the firm (i.e. the interest rate), plotted in i-I space.

Q#73 The war in Iraq sent oil prices spiraling upwards, resulting in an increase in the overall price level. This is an example of which type of inflation?

Options:

- A. Demand-push inflation
- B. Cost-push inflation
- C. Demand-pull inflation
- D. Cost-pull inflation

Correct Option: B

Page Number(s): 150

Ref Sentence by VU Stars: It was observed that the two oil price shocks in the 1970s, which were essentially supply side shocks (because they increased the cost of production), were capable of producing such a situation. The name given to the resulting higher inflation (at any level of unemployment) was cost-push inflation.

Q#74 Private sector resource deficit plus Government budget deficit is equal to:

Options:

- A. Producer budget deficit
- B. Consumer budget deficit

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C. Current account deficit

D. Capital account deficit

Correct Option: C

Page Number(s): 160

Ref Sentence by VU Stars: Current account deficit = Private sector resource deficit + Government budget deficit.

Q#75 In depreciation only those price declines that reflect:

Options:

A. A reduction in consumer satisfaction

B. Greater producer satisfaction

C. Greater consumer satisfaction

D. A reduction in producer satisfaction

Correct Option: A

Page Number(s): 154

Ref Sentence by VU Stars: It's only those price declines that reflect a reduction in consumer satisfaction.

Q#76 Percentage GDP gap is equal to:

Options:

A. (Actual GDP - Potential GDP)/Potential GDP

B. (Potential GDP - Actual GDP)/Actual GDP

C. (Potential GDP - Actual GDP)/Potential GDP

D. (Actual GDP - Potential GDP)

Correct Option: A

Page Number(s): 161

Ref Sentence by VU Stars: The percentage GDP gap is the actual GDP minus the potential GDP divided by the potential GDP. $(\text{Actual GDP} - \text{potential GDP}) / \text{Potential GDP}$.

Q#77 "Capital widening" means:

Options:

A. More capital and more labour, but with the same amount of capital per unit of labour.

B. Importing capital from the developed world.

C. Increasing the usage of existing capital.

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D. More capital per unit of labour.

Correct Option: A

Page Number(s): 164

Ref Sentence by VU Stars: Capital widening is a term used to describe the situation where capital stock is increasing at the same rate as the labour force, thus capital per worker remains constant.

Q#78 Which of the following is the formula to calculate unemployment rate?

Options:

- A. Number of unemployed persons + labour force.
- B. (Number of unemployed persons / labour force) x 100.
- C. Number of employed persons / labour force x 100.
- D. None of the given options.

Correct Option: B

Page Number(s): 142

Ref Sentence by VU Stars: The unemployment rate is defined as the ratio of the no. of unemployed people divided by the sum of the employed and unemployed people.

Q#79 Suppose the consumption function is $C = 1000 + 0.75Y$. If $Y = 100$, then the amount of consumption is:

Options:

- A. 1100.
- B. 1750.
- C. 1075.
- D. 1500.

Correct Option: C

Page Number(s): 126

Ref Sentence by VU Stars: The consumption function is a schedule relating total consumption to personal disposable income. It usually takes the form $C = a + bY_d$. $C = 1000 + 0.75(100) = 1075$.

Q#80 Monopolist earns supernormal profit and can invest their supernormal profits in:

Options:

- A. Research and development
- B. Sustain a price war into new foreign market

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C. Development of new innovative products

D. All of the given options are true

Correct Option: D

Page Number(s): 77

Ref Sentence by VU Stars: Advantages of monopolies: ii. Supernormal or monopoly profits can be invested in R&D, development of new innovative products and to sustain a price war when breaking into new foreign markets.

Q#81 The goods whose features can be determined upon consumption is known as:

Options:

A. Information good

B. Merit good

C. Public good

D. Experience good

Correct Option: D

Page Number(s): 94

Ref Sentence by VU Stars: Experience goods are goods that people must get a flavor of before they can consider buying them. In economics, an experience good is a product or service where product characteristics such as quality or price are difficult to observe in advance, but these characteristics can be ascertained upon consumption.

Q#82 In what scenario government would provide a subsidy to a monopolist?

Options:

A. When the monopolist is maximizing profits

B. When the AR curve intersects the AC curve

C. When the monopolist is making a loss

D. When there is no government regulation

Correct Option: C

Page Number(s): 77

Ref Sentence by VU Stars: If the monopolist makes a loss then the government would have to provide a subsidy.

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Q#83 Which of the following is a barrier to entry that can help a monopolist maintain its position?

Options:

- A. Patents, copyrights and brand loyalty
- B. Encouraging new firms to enter the market
- C. Allowing open access to essential resources
- D. Promoting perfect competition

Correct Option: A

Page Number(s): 74-75

Ref Sentence by VU Stars: HOW CAN A MONOPOLIST RETAIN ITS MONOPOLY? ... v. Product differentiation or brand loyalty. viii. The monopolist produces a product, which no one else can imitate, i.e. is protected by patents or copyrights.

Q#84 Firms in monopolistic competition advertise their products to increase sales and thus the level of profits. From society's point of view, which of the following is the advantage of advertising?

Options:

- A. It encourages price competition among firms.
- B. It increases human wants.
- C. It misleads consumers into buying a low quality product.
- D. It uses economic resources.

Correct Option: B

Page Number(s): 79

Ref Sentence by VU Stars: Since products are differentiated, there is room and rationale for advertising and product promotion.

Q#85 If a departmental store offers 1 pack of Nido milk powder for Rs.1000 and two packs of milk powder for Rs.1800, it reflects that grocery store is engaging in:

Options:

- A. Limit pricing
- B. First degree price discrimination
- C. Third degree price discrimination
- D. Second degree price discrimination

Correct Option: D

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Ref Sentence by VU Stars: 2ND DEGREE PD: In this type, different prices charged to customers who purchase different quantities. Examples of this can often be found in the hotel and airline industries where spare rooms and seats are sold on a last minute standby basis.

Q#86 Suppose a monopolist is earning supernormal profit in the short run. In the long run, it will make:

Options:

- A. Maximum loss
- B. Supernormal profit
- C. Normal profit
- D. Normal loss

Correct Option: B

Page Number(s): 74

Ref Sentence by VU Stars: A monopolist can make supernormal profits even in long run because there is no easy entry for other firms as in the case of perfect competition.

Q#87 Which of the following is the characteristic of monopolistic competition?

Options:

- A. Firms face a horizontal demand curve
- B. There is absence of entry barriers
- C. Firms produce homogeneous products
- D. There are a small number of buyers and sellers

Correct Option: B

Page Number(s): 72

Ref Sentence by VU Stars: Monopolistic competition is also characterized by a large number of buyers and sellers and absence of entry barriers.

Q#88 KFC charges different prices for the same products in different countries. This is an example of:

Options:

- A. 3rd degree price discrimination.
- B. Limit pricing.
- C. 1st degree price discrimination.
- D. 2nd degree price discrimination.

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Correct Option: A

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Ref Sentence by VU Stars: 3RD DEGREE PD: In this type, seller charge different prices to different customers in different markets. For example, exporters may charge a higher price in overseas markets if demand is estimated to be more inelastic than it is in home markets.

Q#89 Suppose in cement industry, five firms get together and decide the optimal quantity and price that maximize their profits. In which market structure, these firms are operating?

Options:

- A. Non- collusive oligopoly
- B. Collusive oligopoly
- C. Monopolistic Competition
- D. Perfect competition

Correct Option: B

Page Number(s): 81

Ref Sentence by VU Stars: Collusive oligopoly (or cartel) can be formed by deciding upon market shares, advertising expenses, prices to be charged (identical or different) or production quotas, such as OPEC, are collusive oligopolies.

Q#90 Suppose the marginal physical product of labor equals Rs. 1500. If the price of good that workers produce is Rs. 50, then the value of marginal product of labour equals:

Options:

- A. Rs. 7500
- B. Rs. 3300
- C. Rs. 75000
- D. Rs. 3500

Correct Option: C

Page Number(s): 93

Ref Sentence by VU Stars: The value of marginal product of labour (VMPL) = MPPL x Pi. VMPL = 1500 x 50 = 75,000.

Q#91 Famous concept "Government has a role in maintaining full employment" is given by:

Options:

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A. David Ricardo.

B. J.M. Keynes.

C. J.B. Say.

D. Adam Smith.

Correct Option: B

Page Number(s): 104

Ref Sentence by VU Stars: Keynesian economics promotes a mixed economy, in which both the state and the private sector are considered to play an important role. He argued that government policies could be used to promote demand at a macro level, to fight high unemployment and deflation of the sort seen during the 1930s.

Q#92 What is a characteristic of monopolists' profits in comparison to perfectly competitive firms?

Options:

A. Both earn equal profit

B. Monopolists earn subnormal profits

C. Monopolists earn supernormal profits

D. Monopolists earn normal profits

Correct Option: C

Page Number(s): 76

Ref Sentence by VU Stars: Monopolists earn supernormal profits compared to perfectly competitive firms.

Q#93 Which of the following market structures does not pay attention to production efficiency?

Options:

A. Oligopoly

B. Perfect competition

C. Monopolistic competition

D. Monopoly

Correct Option: D

Page Number(s): 76

Ref Sentence by VU Stars: Monopolists do not pay sufficient attention to increasing efficiency in their production processes.

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Q#94 Which of the following is NOT a public good?

Options:

- A. Knowledge
- B. National security
- C. Electronics
- D. Street lights

Correct Option: C

Page Number(s): 92

Ref Sentence by VU Stars: Common examples of public goods include: defense and law enforcement (including the system of property rights), public fireworks, lighthouses, clean air and other environmental goods, and information goods, such as software development, authorship, and invention.

Q#95 worth Rs. 95000. If the cost of production is Rs. 75000, the level of profit is:

Options:

- A. 15000.
- B. 17000.
- C. 20000.
- D. 26000.

Correct Option: C (Google)

Page Number(s): N/A

Ref Sentence by VU Stars: Not found in uploaded VU Handouts.

Q#96 According to Classical economists, economy always remains:

Options:

- A. Stagnant.
- B. At full employment level.
- C. Below full employment level.
- D. Above full employment level.

Correct Option: B

Page Number(s): 104

Ref Sentence by VU Stars: The Classical economists assumed that if the economy was left to itself, then it would tend to full employment equilibrium.

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Q#97 A price taker is:

Options:

- A. A firm that accepts different prices from different customers.
- B. A monopolistically competitive firm.
- C. A firm that cannot influence the market price.
- D. An oligopolistic firm.

Correct Option: C

Page Number(s): 63

Ref Sentence by VU Stars: A firm that does not have the ability to influence market price is a price-taker. In perfect competition, the firm is price taker.

Q#98 The output level in long run is determined by:

Options:

- A. Aggregate demand.
- B. Aggregate supply.
- C. The government.
- D. Money supply.

Correct Option: B

Page Number(s): 110

Ref Sentence by VU Stars: Output can change only if the AS curve would shift.

Q#99 Business-cycle instability is best corrected through government policies is a primary implication of:

Options:

- A. Classical Economists.
- B. Monetarist.
- C. J.M. Keynes. OK
- D. New Classical Economists.

Correct Option: C

Page Number(s): 104

Ref Sentence by VU Stars: Keynesian economics promotes a mixed economy, in which both the state and the private sector are considered to play an important role. He argued that government policies could be used

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to promote demand at a macro level, to fight high unemployment and deflation of the sort seen during the 1930s.

Q#100 Famous concept “Government has a role in maintaining full employment” is given by:

Options:

- A. J.M. Keynes.
- B. Adam Smith.
- C. David Ricardo.
- D. J.B. Say.

Correct Option: A

Page Number(s): 104

Ref Sentence by VU Stars: Keynesian economics promotes a mixed economy, in which both the state and the private sector are considered to play an important role. He argued that government policies could be used to promote demand at a macro level, to fight high unemployment and deflation of the sort seen during the 1930s.

Q#101 According to Classical economists, an increase in aggregate demand would:

Options:

- A. Only increase the price level.
- B. Only increase the level of output.
- C. Increase both the price level and the level of output.
- D. Increase the price level and decrease the level of output.

Correct Option: A

Page Number(s): 110

Ref Sentence by VU Stars: Shifts in AD curve would have no effect on AS or on output level in the classical world. Any shift in AD curve will cause only change in the price level but output will not change.

Q#102 Keynesian demand management policies could not be successfully applied in a situation of:

Options:

- A. Stagflation.
- B. Hyper inflation.
- C. Cost push inflation.
- D. Demand pull inflation.

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Correct Option: A

Page Number(s): 111

Ref Sentence by VU Stars: The major problem with Keynesian demand management policies was that they viewed unemployment and inflation to be the opposite sides of the same coin. Thus, if unemployment was high, prices must be low and vice versa. Keynes' policies could not be applied in a situation where both prices and unemployment were rising (stagflation).

Q#103 In Car industry, there are fewer manufacturers that manufacture slightly differentiated cars. They take decisions by considering the actions of rival firms. This industry operates in:

Options:

- A. Monopoly.
- B. Oligopoly.
- C. Natural Monopoly.
- D. Monopolistic Competition.

Correct Option: B

Page Number(s): 72

Ref Sentence by VU Stars: Oligopoly: Few firms, Restricted entry. Cars is an example of oligopoly.

Q#104 In a classical model, a rightward shift in aggregate supply keeping aggregate demand constant will:

Options:

- A. Increase the price level only.
- B. Increase the level of output only.
- C. Increase both the price level and the level of output.
- D. Decrease the price level and increase the level of output.

Correct Option: D

Page Number(s): 110

Ref Sentence by VU Stars: AS curve can be shifted due to the availability of new resources, technology and wage rate. A rightward shift in AS would decrease prices and increase output.

Q#105 Which one of the following is most likely to lead to an increase in aggregate demand if there is an increase in:

Options:

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- A. Government tax revenues.
- B. Household savings.
- C. Demand for imports.
- D. Business capital investment

Correct Option: D

Page Number(s): 109

Ref Sentence by VU Stars: AD shifts to the right when any component of AD increases autonomously; e.g., ... b) There are autonomous increases in investment due to better business prospects.

Q#106 A monopolistically competitive firm in short run equilibrium:

Options:

- A. Will make negative profit (lose money).
- B. Will make zero profit (break-even).
- C. Will make positive profit.
- D. Any of the given is possible.

Correct Option: D

Page Number(s): 79

Ref Sentence by VU Stars: In the short run, super normal profits are possible, but, in long run only normal profits can be earned.

Q#107 A Natural Monopoly is most likely to exist when there are:

Options:

- A. Long term patents.
- B. Large barriers to entry.
- C. Government regulations.
- D. Large economies of scale.

Correct Option: D

Page Number(s): 75

Ref Sentence by VU Stars: Natural monopoly experiences economies of scale as its operation becomes bigger and bigger and therefore it is cost-effective for only one single firm producing for the entire economy, rather than two or more firms.

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Q#108 Royal Leather Industries Ltd Pakistan operates in a monopolistic competition and earns normal profit in the short run. In the long run, it will make:

Options:

- A. Negative profits.
- B. Abnormal losses.
- C. Normal profits only.
- D. Supernormal profits only.

Correct Option: C

Page Number(s): 79

Ref Sentence by VU Stars: In the short run, super normal profits are possible, but, in long run only normal profits can be earned.

Q#109 To hire the next worker, the firm pays Rs.50. Fifty rupees is the:

Options:

- A. Marginal cost.
- B. Marginal revenue.
- C. Marginal input cost.
- D. Marginal revenue product.

Correct Option: C

Page Number(s): 93

Ref Sentence by VU Stars: The wage rate is the marginal cost of labour to the firm and is directly proportional to the hours worked.

Q#110 According to classical economists, what was the main reason of fall in investment during great depression?

Options:

- A. High interest rate
- B. Low interest rate
- C. Large government expenditures
- D. Fall in consumption expenditures

Correct Option: A

Page Number(s): 107

Ref Sentence by VU Stars: According to classicals, firms were not investing during great depression

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because of higher interest rate. Interest rate is the cost of borrowing the funds for the firms. When firms borrow funds, it has to pay the interest rate, that's why firm's investment was declined.

Q#111 The most important factor in determining the long-run profit potential in monopolistic competition is:

Options:

- A. Free entry and exit.
- B. The elasticity of the market demand curve.
- C. The elasticity of the firm's demand curve.
- D. The reaction of rival firms to a change in price.

Correct Option: A

Page Number(s): 79

Ref Sentence by VU Stars: A firm making profits in the short run will break even in the long run because demand will decrease and average total cost will increase. This means in the long run, a monopolistically competitive firm will make zero economic profit.

Q#112 The price level in long run is determined by:

Options:

- A. Aggregate supply.
- B. Aggregate demand.
- C. The government.
- D. Money supply.

Correct Option: A

Page Number(s): 110

Ref Sentence by VU Stars: Shifts in AD curve would have no effect on ASC or on output level in the classical world. Any shift in AD curve will cause only change in the price level but output will not change. Output can change only if the AS curve would shift.

Q#113 Which of the following would cause the short run aggregate supply curve to shift to the left, but have no effect over the long run aggregate supply?

Options:

- A. Prices of inputs decrease
- B. Prices of inputs increase

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C. The amount of factors of production increase

D. Not provided in options

Correct Option: B

Page Number(s): 110

Ref Sentence by VU Stars: AS curve can be shifted due to the availability of new resources, technology and wage rate. An increase in input prices shifts SRAS left.

Q#114 A study of how increases in the minimum wage rate will affect the national unemployment rate is an example of

Options:

A. descriptive economics.

B. normative economics.

C. macroeconomics.

D. microeconomics.

Correct Option: C

Page Number(s): 3

Ref Sentence by VU Stars: Macroeconomics, involves the "sum total of economic activity, dealing with the issues of growth, inflation, and unemployment and with national economic policies relating to these issues".

Q#115 Aggregate supply is the total amount

Options:

A. of goods and services produced in an economy.

B. produced by the government.

C. of products produced by a given industry.

D. of labour supplied by all households.

Correct Option: A

Page Number(s): 103

Ref Sentence by VU Stars: Aggregate supply (AS) is the total value of goods and services that all the firms in the economy would and can willingly produce in a given time period.

Q#116 The total demand for goods and services in an economy is known as

Options:

A. aggregate demand.

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- B. national demand.
- C. gross national product.
- D. economy-wide demand.

Correct Option: A

Page Number(s): 103

Ref Sentence by VU Stars: Aggregate demand (AD) is the total planned or desired spending (expenditure) in the economy during a given period.

Q#117 Deflation is

Options:

- A. an increase in the overall level of economic activity.
- B. an increase in the overall price level.
- C. a decrease in the overall level of economic activity.
- D. a decrease in the overall price level.

Correct Option: D

Page Number(s): 148

Ref Sentence by VU Stars: Deflation is the opposite of inflation and occurs when the general level of prices falls.

Q#118 A recession is

Options:

- A. a period of declining prices.
- B. a period during which aggregate output declines.
- C. a period of declining unemployment.
- D. a period of falling trade volumes.

Correct Option: B

Page Number(s): 162

Ref Sentence by VU Stars: 4 = The slowdown, recession or slump. A recession is a period during which aggregate output declines.

Q#119 Involuntary unemployment means that

Options:

- A. people are not willing to work at the going wage rate.

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B. at the going wage rate, there are people who want to work but cannot find work.

C. there are some people who will not work at the going wage rate.

D. there is excess demand in the labour market.

Correct Option: B

Page Number(s): 104

Ref Sentence by VU Stars: The implication of this was that involuntary unemployment (people being unemployed against their wishes) was a temporary phenomenon as the excess supply of labour would cause wages to fall thereby prompting firms to demand more labour.

Q#120 A cut in the income tax rate designed to encourage household consumption is an example of

Options:

A. expansionary demand-side policy.

B. contractionary demand-side policy.

C. expansionary supply-side policy.

D. contractionary supply-side policy.

Correct Option: A

Page Number(s): 111

Ref Sentence by VU Stars: In recessions, the government increased spending and encouraged the private sector to do the same.

Q#121 A cut in the tax rate designed to reduce the cost of capital and hence encourage business investment is an example of

Options:

A. expansionary demand-side policy.

B. contractionary demand-side policy.

C. expansionary supply-side policy.

D. contractionary supply-side policy.

Correct Option: C

Page Number(s): 147

Ref Sentence by VU Stars: Monetarists also suggested supply side measures which generally reduced the incentive to work. One example is lowering income tax rates.

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Q#122 Macroeconomics is the branch of economics that deals with

Options:

- A. the economy as a whole.
- B. imperfectly competitive markets.
- C. only the long run adjustments to equilibrium in the economy.
- D. the functioning of individual industries and the behaviour of individual decision-making units - business firms and households.

Correct Option: A

Page Number(s): 3

Ref Sentence by VU Stars: Macro Economics: The branch of economics that studies the entire economy, especially such topics as aggregate production, unemployment, inflation, and business cycles.

Q#123 A group of modern economists who believe that price and wage rigidities do not provide the only rationale for macroeconomic policy activism are called:

Options:

- A. New-Keynesians.
- B. Keynesians.
- C. Monetarists.
- D. The Classical school.

Correct Option: A

Page Number(s): 112

Ref Sentence by VU Stars: Since the 1980s, the new or Neo Keynesian School has emerged, led by economists such as Joseph Stiglitz. The new Keynesians have highlighted market failures at the micro level that may arise due to information asymmetries and coordination failures (moral hazard and adverse selection problems). As such they have shown avenues for meaningful government intervention.

Q#124 Macroeconomic theory that emphasised the theories of Keynes and de-emphasised the Classical theory developed as the result of the failure of

Options:

- A. economic theory to explain the simultaneous increases in inflation and unemployment during the 1970s.
- B. fine tuning during the 1960s.
- C. the economy to grow at a rapid rate during the 1950s.
- D. the Classical model to explain the prolonged existence of high unemployment during the Great

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Depression.

Correct Option: D

Page Number(s): 104

Ref Sentence by VU Stars: After 1930, the classical model failed. Solution of classical economist was not found reasonable to solve the world crises prevailed at that time. The Great Depression was the longest and severest recession the world has ever seen.

Q#125 Keynes believed falling wages were not a solution to persistent unemployment because

Options:

- A. falling wages demoralised workers.
- B. this would reduce the purchasing power of labourers as consumers. This in turn would weaken firms' prospects of selling more goods, hence inducing them to cut their investment (and hence labour) demand.
- C. the unemployment was caused by frictional and structural factors.
- D. wages would fall more than required to clear the labour market.

Correct Option: B

Page Number(s): 105

Ref Sentence by VU Stars: Unemployment was high and rising because the labour market equilibrium was moving further and further away from the full employment level. This was not because wages were being prevented from falling to the market clearing level, but because the market clearing level fell further with each wage decrease. This happened because a reduction in wages also lowered consumers' earning and spending power reinforcing firms' pessimistic view of their ability to sell their products.

Q#126 The practice of using fiscal and monetary policy to stabilise the economy is known as

Options:

- A. fine tuning of demand
- B. monetarism
- C. laissez faire economics
- D. supply side economics

Correct Option: A

Page Number(s): 111

Ref Sentence by VU Stars: In the 1950s and 60s, Keynesian demand management policies were practiced by many governments when demand went "off" due to cyclical fluctuations of the economy.

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Q#127 According to Classical models, the level of employment is determined primarily by

Options:

- A. interest rates.
- B. the level of prices.
- C. the level of aggregate supply in the economy
- D. the level of aggregate demand for goods and services.

Correct Option: C

Page Number(s): 110

Ref Sentence by VU Stars: The AS curve was vertical therefore lack or excess of demand could not explain the low level of activity in the aggregate market for goods and services. Policy recommendation: focus on ways to move the AS curve to the right (i.e. supply side measures). According to classicals, economy is always at full employment level.

Q#128 According to Keynes, the level of employment is determined by

Options:

- A. interest rates.
- B. the level of prices.
- C. the level of aggregate supply in the economy
- D. the level of aggregate demand for goods and services.

Correct Option: D

Page Number(s): 105

Ref Sentence by VU Stars: Keynes located the origins of unemployment in deficient aggregate demand. According to him, if aggregate demand could be boosted by pumping government expenditure, this would cause the demand for labor to increase as part of a multiplier effect.

Q#129 According to the Classical model, unemployment

Options:

- A. could not persist because wages would fall to eliminate the excess supply of labour.
- B. could persist for long periods of time because wages are not flexible.
- C. could be eliminated only through government intervention.
- D. could never exist.

Correct Option: A

Page Number(s): 104

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Ref Sentence by VU Stars: The implication of this was that involuntary unemployment (people being unemployed against their wishes) was a temporary phenomenon as the excess supply of labour would cause wages to fall thereby prompting firms to demand more labour. If there was persistent unemployment, it was voluntary, i.e. workers themselves preferred to remain unemployed.

Q#130 To get the economy out of a slump, Keynes believed that the government should

Options:

- A. increase both taxes and government spending.
- B. increase taxes and/or decrease government spending.
- C. cut both taxes and government spending.
- D. decrease taxes and/or increase government spending.

Correct Option: D

Page Number(s): 105

Ref Sentence by VU Stars: He suggested the government spend itself and encourage consumption spending.

Q#131 Aggregate demand refers to the total demand for all domestically produced goods and services in an economy generated from

Options:

- A. the household and government sectors.
- B. the household sector.
- C. all sectors except the rest of the world.
- D. all sectors including the rest of the world.

Correct Option: D

Page Number(s): 103

Ref Sentence by VU Stars: AD is the sum of consumption, investment, government spending and net exports (i.e. exports minus imports).

Q#132 Government policies that focus on increasing production rather than demand are called:

Options:

- A. fiscal policies.
- B. monetary policies.
- C. incomes policies.
- D. supply-side policies.

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Correct Option: D

Page Number(s): 147

Ref Sentence by VU Stars: Monetarists also suggested supply side measures which generally reduced the incentive to work.

Q#133 Prices that do not always adjust rapidly to maintain equality between quantity supplied and quantity demanded are

Options:

- A. market prices.
- B. sticky prices.
- C. fixed prices.
- D. regulatory prices.

Correct Option: B

Page Number(s): 106

Ref Sentence by VU Stars: The reason why the wage rate do not fall much is that wages are sticky downwards.

Q#134 The economists who emphasised wage-flexibility as a solution for unemployment were

Options:

- A. Monetarists.
- B. New-Keynesians.
- C. Classical economists.
- D. Keynesians.

Correct Option: C

Page Number(s): 104

Ref Sentence by VU Stars: The Classical economists assumed that if the economy was left to itself, then it would tend to full employment equilibrium. This would happen if the labour market worked properly.

Q#135 According to the Classical economists, the economy

Options:

- A. requires fine tuning to reach full employment.
- B. should not be left to market forces.
- C. will never be at full employment.

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D. is self correcting.

Correct Option: D

Page Number(s): 104

Ref Sentence by VU Stars: The Classical economists assumed that if the economy was left to itself, then it would tend to full employment equilibrium.

Q#136 Monetarism became popular because it was able to, unlike Classical or Keynesian economics, explain

Options:

- A. stagflation in the late 1970s.
- B. demand-pull inflation in the 1960s.
- C. low growth rates in the 1950s.
- D. the prolonged existence of high unemployment during the Great Depression.

Correct Option: A

Page Number(s): 112

Ref Sentence by VU Stars: The major problem with Keynesian demand management policies was that they viewed unemployment and inflation to be the opposite sides of the same coin. Thus, if unemployment was high, prices must be low and vice versa. Keynes' policies could not be applied in a situation where both prices and unemployment were rising (stagflation) – this situation arose in the 1970s with the two oil price shocks (which were essentially supply side shocks), and led to the decline of Keynesian economics.

Q#137 Keynes' explanation for low firm investment during the Great Depression was

Options:

- A. low savings, which placed a constraint on investment
- B. high real borrowing rates, which discouraged firm borrowing
- C. high savings, which left consumers with less money to spend on goods and services produced by firms
- D. A permanent change in Europe's corporate ownership structures.

Correct Option: C

Page Number(s): 105

Ref Sentence by VU Stars: Low investment was because of firms' bearish expectations about their ability to sell the products they produced. Firms needed to see that the potential buyers of their goods had the money and the willingness to buy goods before they could be convinced to undertake more production thereof. Therefore, higher savings, which would lead to low consumption expenditure on goods and services would

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not increase but decrease investment by reinforcing firms' bearish expectations about their ability to sell their products.

Q#138 Rapid increases in the price level during periods of recession or high unemployment are known as

Options:

- A. slump.
- B. stagnation.
- C. stagflation.
- D. inflation.

Correct Option: C

Page Number(s): 111

Ref Sentence by VU Stars: Keynes' policies could not be applied in a situation where both prices and unemployment were rising (stagflation).

Q#139 The hypothesis that people know the 'true model' of the economy and that they use this model and all available information to form their expectations of the future is the

Options:

- A. rational-expectations hypothesis.
- B. active-expectations hypothesis.
- C. static-expectations hypothesis.
- D. adaptive-expectations hypothesis.

Correct Option: A

Page Number(s): 112

Ref Sentence by VU Stars: The rational expectations school (as opposed to Keynes' static expectations hypothesis) led by such people as Robert Lucas, Robert Barro and Thomas Sargent who conceptualized agents as making use of all the information available to them, and not just past information, while making decisions.

Q#140 Neo-Classical theories were an attempt to explain

Options:

- A. how unemployment could have persisted for so long during the Great Depression.
- B. the stagflation of the 1970s.

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C. why policy changes that are perceived as permanent have more of an impact on a person's behaviour than policy changes that are viewed as temporary.

D. the increase in the growth rate of real output in the 1950s.

Correct Option: B

Page Number(s): 112

Ref Sentence by VU Stars: Coupled with the insights of the monetarist and business cycle schools, this view of the world reinforced the pre-Keynesian beliefs in the power of the free market and stressed the micro-foundations of macroeconomics. For this reason, it is called new or Neo Classical Economics.

Q#141 A group of modern economists who believe that markets clear very rapidly and that expanding the money supply will always increase prices rather than employment are the

Options:

A. New-Keynesians.

B. Keynesians.

C. Monetarists.

D. The Classical school.

Correct Option: C

Page Number(s): 152

Ref Sentence by VU Stars: The net effect of learn and error process is that inflation rises very steeply in response to continued demand-injections by government until the effect on spending and employment is virtually zero – a vertical Phillips curve. This is how Monetarists characterized the long-term tradeoff between output and inflation, i.e. that there was no trade-off and that expansionary demand policies (i.e. expansionary monetary policy) translated fully into higher inflation with no impact on employment whatsoever.

Q#142 Say's law states that:

Options:

A. Supply creates its own demand.

B. Demand creates its own supply.

C. There is no such things as a free lunch

D. Macroeconomic policy activism is essential to ensure full-employment.

Correct Option: A

Page Number(s): 104

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Ref Sentence by VU Stars: An important law the Classical subscribed to, which assumed particular importance in the context of the Great Depression, was Say's law: "supply creates its own demand."

Q#143 The aggregate supply (AS) curve and aggregate demand (AD) curve in a realistic Keynesian world are:

Options:

- A. AS: fully horizontal; AD: downward sloping
- B. AS: horizontal only till the full capacity level; AD: downward sloping
- C. AS: vertical; AD: upward sloping
- D. AS: horizontal; AD: vertical

Correct Option: B

Page Number(s): 111

Ref Sentence by VU Stars: The AS curve was horizontal at the less than full employment level (i.e. when there was excess capacity or slack in the economy), and upward sloping after that, so that an injection of aggregate demand in times of recession could materially increase output, employment and national income.
... AD curve slopes downward for both Keynes and classicals.

Q#144 By how much has real GDP grown from 2001 to 2002?

Options:

- A. -10%
- B. 12.5%
- C. 20%
- D. 0%

Correct Option: D

Page Number(s): 121

Ref Sentence by VU Stars: Real GDP year a = Nominal GDP year a X (Price Index base year / Price Index year a). Real GDP 2001 = 50bn; Real GDP 2002 = 60bn x (110/132) = 50bn. Growth = (50-50)/50 = 0%.

Q#145 By how much has per capita nominal GNP changed from 2001 to 2002?

Options:

- A. -10%
- B. 12.5%
- C. 20%

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D. 0%

Correct Option: A

Page Number(s): 120

Ref Sentence by VU Stars: $GNP = GDP + \text{Net factor incomes from abroad}$. Nominal GNP 2001 = $50 + (-2) = 48bn$; Per capita = $48/6 = 8$. Nominal GNP 2002 = $60 + 3 = 63bn$; Per capita = $63/7 = 9$. Growth = $(9-8)/8 = 12.5\%$.

Q#146 Based on the above information, we can say that:

Options:

- A. Poverty has fallen in the country
- B. Per capita real GDP is falling
- C. Income inequality has worsened
- D. Real growth in the informal sector is 0%

Correct Option: B

Page Number(s): 121

Ref Sentence by VU Stars: Real GDP 2001 = $50bn$; Per capita real GDP 2001 = $50/6 = 8.33$. Real GDP 2002 = $50bn$; Per capita real GDP 2002 = $50/7 = 7.14$. Per capita real GDP is falling.

Q#147 In the circular flow of income, Keynesian equilibrium obtains when

Options:

- A. All the individual sectors are in equilibrium: $S=I$, $T=G$, $M=X$
- B. The aggregate injections equal aggregate withdrawals $S+T+M = I+G+X$
- C. There is no inflation or unemployment
- D. The interest rate and exchange rate are at their market clearing levels

Correct Option: B

Page Number(s): 125

Ref Sentence by VU Stars: Macroeconomic equilibrium in a Keynesian sense obtains when total injections equal total leakages (or total withdrawals), or aggregate supply equals aggregate demand. These are two equivalent notions of Keynesian equilibrium and can be expressed respectively as: $S + T + M \equiv I + G + X$.

Q#148 Under conditions of Keynesian equilibrium:

Options:

- A. aggregate demand equals aggregate supply

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B. aggregate demand equals national income

C. both A and B

D. none of the above

Correct Option: C

Page Number(s): 125

Ref Sentence by VU Stars: Another way of viewing Keynesian equilibrium is: $Y = AD = AS$ Income = Expenditure = Output.

Q#149 Which of the following is a determinant of consumption

Options:

A. expectations about future prices

B. level of indebtedness of consumers

C. the price level

D. all of the above

Correct Option: D (Google)

Page Number(s): N/A

Ref Sentence by VU Stars: Not found in uploaded VU Handouts.

Q#150 Which is the most volatile component of aggregate demand

Options:

A. Net exports

B. consumption

C. investment

D. government spending

Correct Option: C

Page Number(s): 128

Ref Sentence by VU Stars: Investment is by far the most volatile component of aggregate demand.

Q#151 Which of the following is not an obvious or direct determinant of a country's imports

Options:

A. real exchange rate

B. income

C. tariff rates

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D. interest rate

Correct Option: D

Page Number(s): 129

Ref Sentence by VU Stars: A country's imports are related to its level of income, exchange rate, domestic prices relative to prices in foreign countries, import tariffs (taxes and customs duties levied on imported goods), and quantitative restrictions (quotas) on imported goods.

Q#152 When consumption is 650, income is 750; when consumption is 620, income is 700. Assuming there is no government, $I=100$, net exports are 10, what is the level of equilibrium income?

Options:

A. 500

B. 625

C. 775

D. 850

Correct Option: D

Page Number(s): 130-131

Ref Sentence by VU Stars: $MPC = \Delta C / \Delta Y = (650 - 620) / (750 - 700) = 30 / 50 = 0.6$. $C = a + bY$; $650 = a + 0.6(750)$; $a = 200$. $Y = C + I + NX = 200 + 0.6Y + 100 + 10$; $0.4Y = 310$; $Y = 775$.

Q#153 Which of the following is not true?

Options:

A. Starting from no growth, a positive output growth rate would be associated with even higher rates of investment (the accelerator effect)

B. Higher investment causes a multiplied increase in income

C. Such increases in income would continue to induce higher investment, which in turn would continue to cause multiplied increases in output.

D. All of the above.

Correct Option: D

Page Number(s): 135

Ref Sentence by VU Stars: The reason why such an interaction cannot raise output infinitely is because of two reasons i) the economy runs into the full-employment constraint, i.e. there is a fixed number of workers in the economy, and ii) output must grow at an increasing rate (something which is difficult to sustain for very long) in order for investment to continue rising.

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Q#154 In the equation $C = a + bY$, which describes the aggregate consumption function, 'a' stands for

Options:

- A. the amount of consumption when income is zero.
- B. the marginal propensity to consume.
- C. the amount of consumption when income is Maximum.
- D. the average consumption level.

Correct Option: A

Page Number(s): 126

Ref Sentence by VU Stars: The consumption function is a schedule relating total consumption to personal disposable income. It usually takes the form $C = a + bY_d = a + b(Y - T)$, where "a" is the minimum level of consumption that must take place even if Y_d is zero.

Q#155 Total consumption divided by total income gives us:

Options:

- A. the average propensity to consume.
- B. the marginal propensity to save.
- C. the marginal propensity of expenditure.
- D. the marginal propensity to consume.

Correct Option: A

Page Number(s): 126

Ref Sentence by VU Stars: Average propensity to consume (APC) is the ratio of total consumption to total disposable income.

Q#156 Disposable income is the part of households' income left after the deduction of

Options:

- A. pension contributions.
- B. income tax and social security payments.
- C. income tax.
- D. savings.

Correct Option: B

Page Number(s): 122

Ref Sentence by VU Stars: Disposable income is obtained by subtracting the amount of direct taxes from the personal income of the person. Aggregate holds as above as well. The total income used by the household

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sector for either consumption or saving during a given period of time, usually one year. This is the income left over after income taxes and social security taxes are removed and government transfer payments, like welfare, social security benefits, or unemployment compensation are added.

Q#157 As the MPS increases, the multiplier will

Options:

- A. increase.
- B. either increase or decrease depending on the size of the change in investment.
- C. remain constant.
- D. decrease.

Correct Option: D

Page Number(s): 132

Ref Sentence by VU Stars: $k = 1 / (1 - b)$. Since $MPS = 1 - MPC$, as MPS increases, MPC decreases, so the multiplier decreases.

Q#158 In macroeconomics, equilibrium is defined as that point at which

Options:

- A. planned aggregate expenditure equals aggregate output.
- B. planned aggregate expenditure equals consumption.
- C. aggregate output equals consumption minus investment.
- D. saving equals consumption.

Correct Option: A

Page Number(s): 125

Ref Sentence by VU Stars: $Y = AD = AS$ Income = Expenditure = Output.

Q#159 The ratio of the change in the equilibrium level of output to a change in some autonomous component of aggregate demand is the

Options:

- A. elasticity coefficient.
- B. multiplier.
- C. marginal propensity of the autonomous variable.
- D. automatic stabiliser.

Correct Option: B

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Page Number(s): 131-132

Ref Sentence by VU Stars: The term $[1/(1-b)]$ is called the Keynesian multiplier ("k") and is the factor by which equilibrium output, income or expenditure increase in response to an increase in AD (caused by an increase in "a", G, I or X-M).

Q#160 Assuming there are no taxes (and no foreign sector), if the MPC is .8, the multiplier is

Options:

- A. 2.5.
- B. 8.
- C. 5.
- D. 2.

Correct Option: C

Page Number(s): 132

Ref Sentence by VU Stars: $k = 1 / (1 - b) = 1 / (1 - 0.8) = 1 / 0.2 = 5$.

Q#161 Assuming the net income tax rate is 25% (and there is no foreign sector), if the MPC is 0.8, the multiplier is

Options:

- A. 2.5.
- B. 8.
- C. 5.
- D. 2.

Correct Option: A

Page Number(s): 176

Ref Sentence by VU Stars: $k^* = 1 / [1 - MPC(1 - t)] = 1 / [1 - 0.8(1 - 0.25)] = 1 / [1 - 0.8(0.75)] = 1 / [1 - 0.6] = 1 / 0.4 = 2.5$.

Q#162 Assuming there is no foreign sector, if the multiplier is 3, and the net income tax rate is 20%, the MPC is

Options:

- A. 3/4
- B. 4/5
- C. 5/6

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D. 6/7

Correct Option: C

Page Number(s): 176

Ref Sentence by VU Stars: $k^* = 1 / [1 - MPC(1 - t)]$. $3 = 1 / [1 - MPC(1 - 0.2)]$; $1/3 = 1 - 0.8MPC$; $0.8MPC = 2/3$; $MPC = (2/3)/(4/5) = 5/6$.

Q#163 Assume there is no government or foreign sector. If the MPC is .75, a Rs.20 billion decrease in planned investment will cause aggregate output to decrease by

Options:

- A. Rs. 80 billion.
- B. Rs. 20 billion.
- C. Rs. 26.67 billion.
- D. Rs. 15 billion.

Correct Option: A

Page Number(s): 131-132

Ref Sentence by VU Stars: $\Delta Y = k \times \Delta I$. $k = 1/(1-0.75) = 4$. $\Delta Y = 4 \times 20 = 80$ billion.

Q#164 According to the 'paradox of thrift,' increased efforts to save will cause

Options:

- A. an increase in income and an increase in overall saving.
- B. a decrease in income and an overall decrease in saving.
- C. a decrease in income but an increase in saving.
- D. an increase in income but no overall change in saving.

Correct Option: B

Page Number(s): 134

Ref Sentence by VU Stars: As people save more, they will spend less. Firms will therefore produce less, and labour hiring will, as a result, fall, leading to a decline in incomes. This decline would also happen in a multiplied fashion, causing a huge decline in national income. The paradox lies in the fact that that saving, while usually considered good for any one individual, can actually be harmful to the overall economy if everyone started saving.

Q#165 If injections are less than withdrawals at the full-employment level of national income, there is

Options:

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- A. an inflationary gap.
- B. equilibrium.
- C. a deflationary gap.
- D. hyperinflation.

Correct Option: C

Page Number(s): 130

Ref Sentence by VU Stars: A deflationary gap could result if, starting from the full employment level, there was a reduction in G.

Q#166 The accelerator theory of investment says that induced investment is determined by

Options:

- A. the rate of change of national income.
- B. expectations.
- C. the level of national income.
- D. the level of aggregate demand.

Correct Option: A

Page Number(s): 134-135

Ref Sentence by VU Stars: The accelerator is a related concept which formalizes the investment response to output or income changes in an economy. The key observation here is that when an economy begins to recover from a slump, investment can rise very rapidly and, in percentage terms, the rise in investment may be several times the rise in income.

Q#167 The diagram that shows the money received and paid out by each sector of the economy is the

Options:

- A. income-price diagram.
- B. income-expenditures diagram.
- C. circular flow diagram.
- D. aggregate demand-aggregate supply diagram.

Correct Option: C

Page Number(s): 124

Ref Sentence by VU Stars: Circular flow refers to the continuous movement of production, income, and resources between producers and consumers.

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Q#168 If both the no. of unemployed people and the size of the labour force increase by 10,000, then

Options:

- A. the unemployment rate will remain the same.
- B. the unemployment rate will increase.
- C. the unemployment rate will decrease.
- D. we cannot tell.

Correct Option: A

Page Number(s): 142-143

Ref Sentence by VU Stars: The unemployment rate is defined as the ratio of the no. of unemployed people divided by the sum of the employed and unemployed people.

Q#169 Which of the following could be a reason for the problem of “lack of jobs” being overestimated:

Options:

- A. the existence of disguised unemployment
- B. people are underemployment
- C. people holding only one job (as opposed to multiple jobs)
- D. the existence of child labour

Correct Option: D

Page Number(s): 143

Ref Sentence by VU Stars: Higher than it actually is (i.e. the severity of the problem of there being very few jobs compared to workers is over-stated). The possible reasons here could be: i. The existence of child labour, i.e. children taking the jobs that would otherwise have been available to adults.

Q#170 Which of the following is not a cost of voluntary unemployment?

Options:

- A. potential output of the economy is greater than actual output
- B. government loses tax revenue
- C. firms lose (potential) revenues due to operating below capacity
- D. mental stress undergone by the unemployed persons

Correct Option: D

Page Number(s): 143

Ref Sentence by VU Stars: If unemployment is voluntary, i.e. people do not work because they feel they are better off being unemployed, the costs are borne essentially by society, not the individual per se. The costs

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are: a. Output and hence national income is lower than potential. b. Government loses tax revenues because of a. c. Firms lose revenues as they could have employed more workers and produce and sell more. d. Other workers lose additional wages that they might have otherwise been able to earn with higher national output. e. There is a general tendency for crime and violence to rise in society as unemployment levels increase. If unemployment is involuntary, then all the above broader social costs are borne, but private individual costs for the unemployed individual must also now be added. These would include loss of personal income, mental stress due to loss in self-esteem, worsening of relationship with family or friends.

Q#171 “Because higher wages are less likely to induce people who are structurally or physically unable to participate on the labour force. On the other hand people already on the labour force are more likely to respond to higher wages by accepting jobs.” The above statement is an answer to which question?

Options:

- A. Why is the AJ curve more elastic than the LF curve
- B. Why is the LF curve not totally vertical
- C. Why is the AJ curve not completely vertical
- D. Why is it difficult to completely remove the horizontal distance between the AJ and LF curves

Correct Option: A

Page Number(s): 145

Ref Sentence by VU Stars: The AJ curve represents those members of the labour force which are willing to accept suitable jobs. The AJ curve is flatter than the LF curve because job seekers would be more willing to accept jobs in response to a rise in wages compared to people who are not even members of the labour force.

Q#172 Which of the following would constitute sound government policy if you subscribed to the Monetarist view on unemployment?

Options:

- A. increase aggregate demand through monetary or fiscal policy
- B. reduce the obstacles to downward wage rigidity (like unions, unemployment benefits, minimum wage legislations etc.)
- C. Reduce the marginal income tax rate (to increase the incentive to work)
- D. All of the the above

Correct Option: C

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Ref Sentence by VU Stars: Monetarists also suggested supply side measures which generally reduced the incentive to work. One example is lowering income tax rates and thus increasing the incentive for people to work the extra hour and earn the extra dollar.

Q#173 The persistence of a phenomenon, such as unemployment, even when its causes have been removed is called

Options:

- A. The paradox of thrift.
- B. hysteresis.
- C. structural unemployment.
- D. ceteris paribus.

Correct Option: B

Page Number(s): 148

Ref Sentence by VU Stars: Hysteresis refers to the permanent effects of a temporary change. In the context of unemployment, for example, a temporary fall in demand in the economy which leads to lower economic activity and hence lay-offs by firms may have more permanent effects given the search behavior of workers.

Q#174 Cyclical unemployment is the

Options:

- A. portion of unemployment that is due to changes in the structure of the economy that result in a significant loss of jobs in certain industries.
- B. unemployment that results when people become discouraged about their chances of finding a job so they stop looking for work.
- C. portion of unemployment that is due to seasonal factors.
- D. unemployment that occurs during recessions and depressions.

Correct Option: D

Page Number(s): 143

Ref Sentence by VU Stars: Cyclical unemployment, also known as demand deficient unemployment, occurs when there is not enough aggregate demand for the labor. This is caused by a business cycle recession.

Q#175 The natural rate of unemployment is generally thought of as the

Options:

- A. ratio of the frictional unemployment rate to the cyclical unemployment rate.

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- B. sum of frictional unemployment and cyclical unemployment.
- C. sum of frictional unemployment and structural unemployment.
- D. sum of structural unemployment and cyclical unemployment.

Correct Option: C

Page Number(s): 146

Ref Sentence by VU Stars: The horizontal distance between N^* and N_1 is referred to as the natural level of unemployment. When the horizontal axis measure the employment rate, the same measures the natural rate of unemployment. To keep things simple, we will not differentiate between the two terms and will use them interchangeably. ... Frictional unemployment was defined as unemployment caused by delays in matching job-seekers to jobs... Structural unemployment was associated with changes in the structure of an economy.

Q#176 One of the tenets of the Classical view of the labour market is that the wage adjustments that are necessary to clear the labour market occur

Options:

- A. slowly.
- B. instantly.
- C. very infrequently.
- D. very quickly.

Correct Option: D

Page Number(s): 104

Ref Sentence by VU Stars: The implication of this was that involuntary unemployment (people being unemployed against their wishes) was a temporary phenomenon as the excess supply of labour would cause wages to fall thereby prompting firms to demand more labour.

Q#177 According to Keynesian economists, those who are not working

Options:

- A. have given up looking for a job, but would accept a job at the current wage if one were offered to them.
- B. are too productive to be hired at the current wage.
- C. have chosen not to work at the market wage.
- D. are unable to find a job at the current wage rate.

Correct Option: D

Page Number(s): 105

Ref Sentence by VU Stars: Unemployment was high and rising because the labour market equilibrium was

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moving further and further away from the full employment level. This was not because wages were being prevented from falling to the market clearing level, but because the market clearing level fell further with each wage decrease. This happened because a reduction in wages also lowered consumers' earning and spending power reinforcing firms' pessimistic view of their ability to sell their products. Policy recommendation: higher money payments to consumers should be given out (possibly by the state) in order to increase their ability to buy the goods being produced by firms.

Q#178 The index used most often to measure inflation is the

Options:

- A. consumer price index.
- B. wholesale price index.
- C. student price index.
- D. producer price index.

Correct Option: A

Page Number(s): 149

Ref Sentence by VU Stars: The most commonly used index when referring to overall inflation in the economy is the retail or consumer price index (CPI).

Q#179 If you were the owner of a cycle manufacturing firm, would you be particularly worried if wage inflation were higher than price inflation?

Options:

- A. No. Because you would still be able to sell your goods at the higher price.
- B. Yes. Because the cost of your input is growing faster than the revenue obtained from your output
- C. Yes. Because both price and wage inflation are bad.
- D. No. Because any loss to the firm will be offset by the gain to the workers.

Correct Option: B

Page Number(s): 149

Ref Sentence by VU Stars: Since real wages are nominal wages adjusted for prices, it is straightforward to see that if wage inflation is greater than price inflation, real wages are rising, and vice versa.

Q#180 Which of the following is not a major cost of inflation:

Options:

- A. Resource wastage: as people spend time and money to guard against the "purchasing power erosion"

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effects of inflation, while firms suffer menu costs (i.e. the costs of frequently issuing “revised” price lists).

B. Uncertainty: firms defer investment when inflation is high and volatile as the latter complicates predicting future cashflows.

C. Worsened income inequality: inflation is a regressive tax on the people that does not take into account the taxpayers’ “ability to pay”. As such, there is a redistribution of wealth from the poor to the rich.

D. Money printing costs: inflation requires more currency notes to be printed and this raises the government’s printing costs.

Correct Option: D

Page Number(s): 149

Ref Sentence by VU Stars: COSTS OF INFLATION: a. Inflation redistributes income away from those on fixed incomes... b. High inflation increases uncertainty for firms, thus impacting investment rather negatively. c. Balance of payments problems are also often a result of high domestic inflation. d. Resource wastage is high when inflation is high. Extra resources (time and money) are dedicated, both by individuals and firms, merely to hedge against the purchasing power erosion effects of inflation. Restaurants have to change their menus frequently; price lists have to be issued more frequently.

Q#181 In the long run, the Phillips curve will be vertical at the natural rate of unemployment if

Options:

A. the long-run supply curve is horizontal at the natural rate of inflation.

B. the long-run aggregate demand curve is vertical at potential GDP.

C. the long-run aggregate demand curve is horizontal at the natural rate of inflation.

D. the long-run aggregate supply curve is vertical at potential GDP.

Correct Option: D

Page Number(s): 152

Ref Sentence by VU Stars: The net effect of learn and error process is that inflation rises very steeply in response to continued demand-injections by government until the effect on spending and employment is virtually zero – a vertical Phillips curve. This is how Monetarists characterized the long-term tradeoff between output and inflation, i.e. that there was no trade-off and that expansionary demand policies (i.e. expansionary monetary policy) translated fully into higher inflation with no impact on employment whatsoever.

Q#182 According to the monetarists, the measured unemployment rate can

Options:

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- A. be reduced below the natural rate only in the short run, and not without inflation.
- B. be reduced below the natural rate only in the long run, and only if the price level is constant.
- C. be reduced below the natural rate only in the short run, and only if the price level is constant.
- D. be reduced below the natural rate only in the long run, and not without inflation.

Correct Option: A

Page Number(s): 152

Ref Sentence by VU Stars: The net effect of learn and error process is that inflation rises very steeply in response to continued demand-injections by government until the effect on spending and employment is virtually zero – a vertical Phillips curve. This is how Monetarists characterized the long-term tradeoff between output and inflation, i.e. that there was no trade-off and that expansionary demand policies (i.e. expansionary monetary policy) translated fully into higher inflation with no impact on employment whatsoever.

Q#183 If the prices of all inputs seem to be rising, can you be absolutely sure that it is cost-push inflation?

Options:

- A. No, because cost-push inflation is caused by an increase in the cost of only one input.
- B. Yes, because that is exactly the definition of cost-push inflation.
- C. No, because such a situation can also be caused by particular demand pressures in the economy.
- D. Yes, because this is exactly what happens in stagflation.

Correct Option: C

Page Number(s): 151

Ref Sentence by VU Stars: It is important to note that sometimes what appears as cost-push inflation is actually driven by higher demand. For e.g., let's say demand for property increases in an economy; this causes housing prices to rise, causing rents to rise, and causing workers to demand higher wages. Higher wages causes firms' production costs to increase prompting them to raise goods prices which in turn cause retail prices to rise. At every point of the whole chain, it is the costs that are rising (rental costs, production costs, purchase costs of retailers), but the cause of these rising costs is higher demand for property. This situation is often branded cost-push illusion.

Q#184 The quantity theory of money implies that, provided velocity of money is constant, a given percentage change in the money supply will cause

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- A. an equal percentage change in nominal GDP.
- B. a larger percentage change in nominal GDP.
- C. an equal percentage change in real GDP.
- D. a smaller percentage change in nominal GDP.

Correct Option: A

Page Number(s): 152

Ref Sentence by VU Stars: Quantity Theory of Money (QTM), which provided an explanation for inflation totally independent from that for unemployment. QTM states: $MV = PQ$, where M is the real money supply, V is the velocity of money (the no. of times money is circulated in the economy in a year), P is the price level and Q is the real output. Assuming a constant V and a stable (natural rate) output Q^* , changes in P could be explained totally by changes in M. A stable M would imply a stable P.

Q#185 If input prices adjusted very slowly to output prices, the Phillips curve would be

Options:

- A. downward sloping.
- B. vertical or nearly vertical.
- C. upward sloping.
- D. horizontal or nearly horizontal.

Correct Option: A

Page Number(s): 150

Ref Sentence by VU Stars: The Phillips curve tradeoff can be summarized as follows: Lower unemployment can be achieved only at the cost of higher inflation.

Q#186 If inflationary expectations increase, the short-run Phillips curve will

Options:

- A. become vertical.
- B. become upward sloping.
- C. shift to the right.
- D. shift to the left.

Correct Option: C

Page Number(s): 150

Ref Sentence by VU Stars: In the context of the Phillips curve, the supply shock would be shown by

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shifting the Phillips curve out to the right, reflecting a structural shift in the inflation-unemployment trade-off. The name given to the resulting higher inflation (at any level of unemployment) was cost-push inflation.

Q#187 The record of a country's transactions in goods, services, and assets with the rest of the world is its _____; while the difference between a country's merchandise exports and its merchandise imports is the _____.

Options:

- A. current account; trade balance.
- B. capital account; balance of payments.
- C. balance of trade; capital account.
- D. balance of payments; balance of trade.

Correct Option: A

Page Number(s): 156

Ref Sentence by VU Stars: The current account balance is essentially the trade balance (exports minus imports), but with net factor receipts from abroad added.

Q#188 Assuming there is no government intervention in the foreign exchange market, which of the following statements must clearly be FALSE, given that?

Options:

- A. If the capital account is in surplus, then the current account is likely to be in deficit.
- B. If the current account is in deficit, then the capital account is likely to be in surplus.
- C. If the current account is in balance, the capital account is also likely to be in balance.
- D. None of the above.

Correct Option: D

Page Number(s): 155

Ref Sentence by VU Stars: If the exchange rate is floating, then changes to reserves can remain zero, as the adjustment burden is borne by the exchange rate which appreciates (depreciates) in response to a joint surplus (deficit) on the current and capital accounts.

Q#189 Which of the following statements is necessarily TRUE?

Options:

- A. A country runs a current account deficit if it imports more goods and services than it exports.
- B. The sum of the current and capital accounts must be zero.

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C. If both the current and capital accounts are in surplus, the exchange rate must appreciate.

D. None of the above.

Correct Option: B

Page Number(s): 155

Ref Sentence by VU Stars: If the exchange rate is fixed, then changes in reserves must mirror the combined balance on the current and capital accounts in order to bring the overall BOPs to zero. If the exchange rate is floating, then changes to reserves can remain zero, as the adjustment burden is borne by the exchange rate which appreciates (depreciates) in response to a joint surplus (deficit) on the current and capital accounts.

Q#190 All currencies other than the domestic currency of a given country are referred to as

Options:

A. reserve currencies.

B. near monies.

C. foreign exchange.

D. hard currency.

Correct Option: C

Page Number(s): 152

Ref Sentence by VU Stars: Foreign exchange, in the Pakistani context, simply means US dollars (note that foreign exchange from the US's point of view would be Pak rupees).

Q#191 Exchange rates that are determined by the unregulated forces of supply and demand are

Options:

A. floating exchange rates.

B. pegged exchange rates.

C. fixed exchange rates.

D. managed exchange rates.

Correct Option: A

Page Number(s): 155

Ref Sentence by VU Stars: To let the exchange rate float freely is to allow the price mechanism to bring about automatic equilibrium in the foreign exchange market. Thus in this case, if there is an excess supply of dollars, the price of the dollar falls (i.e. less rupees are required to purchase one dollar). In other words, the rupee appreciates vis-à-vis the dollar.

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Q#192 If the State Bank of Pakistan reduces the money supply, a floating exchange rate will help in reducing inflation because

Options:

- A. as the money supply is decreased, the interest rate will increase, and the price of both Pakistani exports and Pakistani imports will rise.
- B. as the money supply is decreased, the interest rate will increase, and the price of Pakistani exports will rise and the price of Pakistani imports will fall.
- C. as the money supply is decreased, the interest rate will increase, and the price of Pakistani exports will fall and the price of Pakistani imports will rise.
- D. as the money supply is decreased, the interest rate will increase, and the price of Pakistani exports and Pakistani imports will fall.

Correct Option: C

Page Number(s): 157

Ref Sentence by VU Stars: A devaluation attempts to bring the exchange rate in line with its long-run equilibrium level, i.e. a level consistent with international competitiveness. Competitiveness is simply defined as the real exchange rate (RER), where $RER = (P_f/P_d) * NER$; NER is the nominal exchange rate (in Rs/\$), P_f is the price level prevailing in the foreign country (US), and P_d is the price level prevailing in the home country (Pakistan). The formula simply says that, given a fixed NER, if inflation is higher in Pakistan (relative to the US), Pakistani exports will become less attractive (or competitive) in the international market. As a result, our exports will fall, and current account will go into deficit. To rectify the situation, the NER can be devalued so as to make our goods cheaper and bring competitiveness back to its original higher level.

Q#193 The fall (rise) in value of one currency relative to another is

Options:

- A. a floating (fixing) of the currency.
- B. an appreciation (depreciation) of a currency.
- C. a depreciation (appreciation) of a currency.
- D. a strengthening (weakening) of a currency.

Correct Option: C

Page Number(s): 154-155

Ref Sentence by VU Stars: Conversely if there is an excess demand for dollars in the market, then this pushes the exchange rate up (i.e. more rupees will now be needed to buy one dollar). In other words, the

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rupee depreciates. Note that an increase (decrease) in the price of the dollar is equivalent to a(n) depreciation (appreciation) of the rupee, not vice versa.

Q#194 If purchasing power parity prevails absolutely in a two country world, the real exchange rate between the two countries should be:

Options:

- A. 1.
- B. constantly changing.
- C. relatively stable, but not constant
- D. none of the above

Correct Option: A

Page Number(s): 158

Ref Sentence by VU Stars: PPP would imply that the RER is the rate at which an organization can trade goods and services of one economy (e.g. country) for those of another. For example, if the price of good increases 10% in the UK, and the Japanese currency simultaneously appreciates 10% against the UK currency, then the price of the good remains constant for someone in Japan. The people in the UK, however, would still have to deal with the 10% increase in domestic prices. It is also worth mentioning that government-enacted tariffs can affect the actual rate of exchange, helping to reduce price pressures. PPP appears to hold only in the long term (3–5 years) when prices eventually correct towards parity.

Q#195 The interest parity equation implies that there is a general tendency for:

Options:

- A. exchange rates to be insensitive to the differential rates of interest between countries.
- B. the currencies of relatively low-interest countries to appreciate.
- C. the currencies of relatively high-interest countries to appreciate.
- D. the currencies of relatively low-interest countries to depreciate.

Correct Option: B

Page Number(s): 159-160

Ref Sentence by VU Stars: Interest rate parity is an arbitrage condition, which says that the returns from borrowing in one currency, exchanging that currency for another currency and investing in interest-bearing instruments of the second currency, while simultaneously purchasing futures contracts to convert the currency back at the end of the investment period should be equal to the returns from purchasing and holding similar interest-bearing instruments of the first currency. If the returns are different, investors could

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theoretically arbitrage and make risk-free returns. $i_D \approx i_F + \Delta E_e$. Domestic interest rate = Foreign interest rate + Expected depreciation.

Q#196 Which of the following is (are) correct statement(s) about the current account deficit?

Options:

- A. A current account deficit is bad, if it is being caused by excessive consumer spending
- B. A current account deficit is bad, if it is fuelled by high fiscal deficits
- C. A current account deficit is good, if it is caused by the excess of productive domestic investment over domestic savings
- D. All of the above

Correct Option: D

Page Number(s): 156-157

Ref Sentence by VU Stars: Is a current account deficit necessarily bad? The answer is no. Recalling the condition for macroeconomic equilibrium $S+T+M = I+G+X$, and rearranging, we can get $\{M-X\} = [I-S] + (G-T)$. The $\{\}$ term is the current account or trade balance, the $[]$ term gives the private sector resource deficit (i.e. the excess of the private sector's investment over savings) and the $()$ term is the government fiscal deficit. It is clear that if $M > X$ because $G > T$ (i.e. government is spending in excess of its resources), then the current account deficit might be unsustainable (i.e. bad), especially if the government's spending is essentially of a current nature. However, a trade deficit which finances private investment that would otherwise not have been possible, is likely to be desirable, esp. if the private sector is investing in industries that will have future export potential (because this means the country will have the foreign exchange reserves in the future to pay off the debt that is being incurred today to finance the current account deficit).

Q#197 The J-curve effect refers to the observation that

Options:

- A. GDP usually decreases before it increases after a currency depreciation.
- B. GDP usually decreases before it increases after a currency appreciation.
- C. the trade balance usually gets worse before it improves after a currency appreciation.
- D. the trade balance usually gets worse before it improves after a currency depreciation.

Correct Option: D

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Ref Sentence by VU Stars: Devaluation only works if the country's exports and imports are elastic, otherwise the price effect of the devaluation will dominate the volume effect and the current account will

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worsen. Secondly, the country must have excess productive capacity in order to meet the higher demand for exports that is created as a result of the devaluation. Thirdly, the country should not have a very high foreign debt whose burden increases so much as a result of the devaluation that the negative effects associated therewith overwhelm any positive competitiveness effects.

Q#198 If Japan exports more direct investment capital abroad than expected, then the yen will tend to

Options:

- A. appreciate.
- B. fluctuate more than if exports were lower.
- C. depreciate.
- D. not be affected.

Correct Option: C

Page Number(s): 154

Ref Sentence by VU Stars: Examples of transactions that cause the supply curve for dollars to shift to the right are net inflows of US investment into Pakistan, Pakistani exports to the US, remittances from Pakistanis working in the US. Now what are examples of transactions that cause the demand for dollars to increase? Pakistani imports of US goods, Pakistani travelers traveling to the US, Pakistani students paying for study in US universities, profits repatriated to US by US firms operating in Pakistan. All these will cause the demand for dollars in the market to increase.

Q#199 Today is Tuesday morning. If currency dealers expect the value of the dollar to fall by 10% on Wednesday, then, ceteris paribus, what will happen by the end of today to the Rs./dollar exchange rate? It will:

Options:

- A. Rise by more than 10%.
- B. Rise by exactly 10%.
- C. Fall by less than 10%.
- D. Remain constant.

Correct Option: A

Page Number(s): 154

Ref Sentence by VU Stars: If currency dealers expect the value of the dollar to fall, they will sell dollars today to avoid losses. This increases the supply of dollars, causing the exchange rate (Rs./\$) to fall. However, since they expect a 10% fall, they will act quickly, causing the exchange rate to fall by more than 10% today.

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Q#200 According to traditional thinking on the subject, which of the following would not generate economic growth in an economy?

Options:

- A. an increase in the size of the labour force.
- B. an increase in the productivity of capital.
- C. a move to more capital intensive production methods
- D. discovery of a major mineral resource in the country

Correct Option: C

Page Number(s): 161

Ref Sentence by VU Stars: Traditional thinking on growth was that it can be driven either by an increase in factor resources (land, natural resources, labour, capital), i.e. an increase in potential GDP, or by more efficient use of the factors, i.e. a move from inside the PPF to the PPF. The policy implication attached to this line of thinking was simple. Countries must either accumulate factors of production (esp. capital), or develop more cost-efficient technologies and methods of production to utilize those resources better. In any event, factors of production were at the heart of growth theory.

Q#201 When referring to economic growth, we normally refer to:

Options:

- A. growth in actual real per capita output
- B. growth in potential real per capita output
- C. growth in actual nominal per capita output
- D. growth in potential real per capita output

Correct Option: A

Page Number(s): 161

Ref Sentence by VU Stars: Economic growth is increase in an economy's level of production, output or income. We can talk about production or output in two broad definitional contexts. One, we can compare real GDP with some other measure of welfare (for e.g., one which adjusts for externalities, social indicators, the black market, purchasing power parity, income inequality etc.). Two, we can talk about potential vs. actual output. Potential output is the aggregate capacity output of a nation; the maximum quantity of goods and services that can be produced with available resources and a given state of technology. In our discussion here, we will abstract from such complexities and take output to simply mean real GDP.

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Q#202 A variable whose value is determined by the model of which it is a part is termed _____.

Options:

- A. endogenous
- B. exogenous
- C. independent
- D. constant

Correct Option: A

Page Number(s): 166

Ref Sentence by VU Stars: Endogenous growth theory or new growth theory was developed in the 1980s as a response to criticism of the neo-classical growth model. In neoclassical growth models, the long-run rate of growth is exogenously determined by assuming a savings rate (the Solow model) or a rate of technical progress. Endogenous growth theory tries to overcome this shortcoming by building macroeconomic models out of microeconomic foundations.

Q#203 An example of capital deepening, given an increasing L, would be:

Options:

- A. K increases so as to maintain a constant K/L
- B. K increases so much that K/L increases
- C. K remains constant so that L/K increases
- D. K falls, so as to reduce K/L

Correct Option: B

Page Number(s): 164

Ref Sentence by VU Stars: Capital deepening is a term used in economics to describe an economy where capital per worker is increasing. It is an increase in the capital intensity.

Q#204 The neo-classical growth model says that:

Options:

- A. poor countries should catch-up (or converge to) with richer countries
- B. higher savings (or rates of capital accumulation) cannot raise a country's steady state growth rate
- C. the steady state growth rate of real output depends on the sum of the (exogenous) growth rates in population and technical progress.
- D. All of the above.

Correct Option: D

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Ref Sentence by VU Stars: The key assumption of the neoclassical growth model is that capital is subject to diminishing returns. Given a fixed stock of labor, the impact on output of the last unit of capital accumulated will always be less than the one before. Assuming for simplicity no technological progress or labor force growth, diminishing returns implies that at some point the amount of new capital produced is only just enough to make up for the amount of existing capital lost due to depreciation. At this point, because of the assumptions of no technological progress or labor force growth, the economy ceases to grow. ... The steady-state growth rate of real GDP depends on n and t , the exogenous rates of growth of population and technology. By exogenous, we mean determined outside the model. Thus, there were no policy insights for how governments could affect the steady state growth rates of countries. In particular, the model suggested that higher savings could only have a level effect on income, not a long-term growth effect as had been earlier thought. The reason was that savings-enabled investment and capital accumulation eventually banged into diminishing returns. ... If one country started with lower income and capital than another country, then the poorer country would grow faster in order to catch up with the richer country. Eventually, both would grow at the same rate.

Q#205 The length of a business cycle would be measured from

Options:

- A. peak to trough.
- B. trough to peak.
- C. peak to peak.
- D. the slump to the expansion.

Correct Option: C

Page Number(s): 162

Ref Sentence by VU Stars: 1 = The upturn, 2 = The boom, 3 = The peaking out, 4 = The slowdown, recession or slump. The length of a business cycle is measured from one peak to the next peak or from one trough to the next trough.

Q#206 If the economy is in the expansionary phase of the business cycle, aggregate demand is likely to be _____, unemployment is likely to be _____, inflation is likely to be _____, and the current account of the balance of payments is likely to be moving towards _____.

Options:

- A. rising; falling; rising; deficit

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- B. static; low; rising; deficit
- C. falling; falling; falling; surplus
- D. falling; rising; falling; surplus

Correct Option: A

Page Number(s): 170

Ref Sentence by VU Stars: In the expansionary phase of the trade cycle (i.e. just following a recession), AD grows rapidly, the gap between actual and potential output narrows and unemployment (of the demand-deficient sort) falls. However, rising demand puts pressure on prices (inflation), sucks in imports and lowers competitiveness, moving the balance of payments towards a deficit. Thus two of the problems get better, two worsen.

Q#207 If the economy is at the peak of the business cycle, aggregate demand is likely to be _____ , unemployment is likely to be _____ , inflation is likely to be _____ , and the current account of the balance of payments is likely to be moving towards _____ .

Options:

- A. rising; falling; rising; deficit
- B. static; low; rising; deficit
- C. falling; falling; falling; surplus
- D. falling; rising; falling; surplus

Correct Option: B

Page Number(s): 170

Ref Sentence by VU Stars: In the expansionary phase of the trade cycle (i.e. just following a recession), AD grows rapidly, the gap between actual and potential output narrows and unemployment (of the demand-deficient sort) falls. However, rising demand puts pressure on prices (inflation), sucks in imports and lowers competitiveness, moving the balance of payments towards a deficit. Thus two of the problems get better, two worsen. The opposite happens in the contractionary phase of the cycle (i.e. just following a boom). At the peak, AD is static (stops growing), unemployment is low, inflation is rising, and the current account is moving towards a deficit.

Q#208 If the economy is approaching the trough phase of the business cycle, aggregate demand is likely to be _____ , unemployment is likely to be _____ , inflation is likely to be _____ , and the current account of the balance of payments is likely to be moving towards _____ .

Options:

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- A. rising; falling; rising; deficit
- B. static; low; rising; deficit
- C. falling; falling; falling; surplus
- D. falling; rising; falling; surplus

Correct Option: D

Page Number(s): 170

Ref Sentence by VU Stars: The opposite happens in the contractionary phase of the cycle (i.e. just following a boom). Approaching the trough, AD is falling, unemployment is rising, inflation is falling, and the current account is moving towards a surplus.

Q#209 Which of the following is not true regarding the effects of growth on the balance of payments and vice versa?

Options:

- A. Generally, growth raises incomes which will translate into higher consumption and higher imports, causing the current account of the BOPs to deteriorate.
- B. If growth is “export-led”, it will boost the current account surplus of the BOPs.
- C. If the current account deficit reflects an underlying private sector resource deficit, it is likely to be bad for future growth.
- D. If the current account reflects rising imports of military equipment by the government, it might not be beneficial for economic growth.

Correct Option: C

Page Number(s): 170-171

Ref Sentence by VU Stars: Growth-BOPs: This depends on whether growth is of the import-substituting industrialization (ISI) sort or export-oriented variety. ISI: If the country (e.g. India from 1947- to the 1980s) imports a lot of capital and machinery in order to set up industries that can produce consumer goods for the home market that were earlier imported from abroad, then this country can experience growth but a high current account deficit initially (because the country produces not for the world market but for the home market, so exports are low while imports of capital are high). Export-led: If a country's growth is mainly attributable to its capture of a larger share of world markets through exports, then that country is more likely to generate current account surpluses as it grows. East Asian countries are prime examples. See also the relationship between higher imports and growth/employment (below). The reverse relationship is more complicated. On the one hand, we see that a country with a fixed exchange rate will experience a loss in

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reserves, a monetary contraction and thus a reduction in aggregate demand (and hence growth) when faced with a BOPs deficit. On the other hand, if the current account deficit (or capital account surplus) reflects an underlying private sector resource gap and is financing productive private sector domestic investment, then the long-term growth implications might be positive (due to higher domestic private investment).

Q#210 A country has high inflation and is running a current account deficit. What should it do in the context of the Salter-Swan diagram?

Options:

- A. Reduce government spending and revalue the exchange rate
- B. Increase government spending and devalue the exchange rate
- C. Reduce the money supply and devalue the exchange rate
- D. Increase government spending and revalue the exchange rate

Correct Option: C

Page Number(s): 172

Ref Sentence by VU Stars: LICs often find themselves in the east quadrant where there is both inflation and unemployment. A combination of devaluation and lower absorption (tight monetary and fiscal policies) can often do the trick.

Q#211 A government's attempt to reduce its defence expenditure is an example of (i) , while a government effort to raise interest rates is an example of (ii) .

Options:

- A. (i) monetary policy. (ii) fiscal policy.
- B. (i) fiscal policy. (ii) monetary policy.
- C. (i) incomes policy. (ii) supply-side policy.
- D. (i) supply-side policy. (ii) incomes policy.

Correct Option: B

Page Number(s): 129, 189

Ref Sentence by VU Stars: Fiscal Policy is a government program with respect to i) expenditure (G): the purchase of goods and services and spending in the form of subsidies, unemployment benefits etc. and ii) tax revenue (T): the amount and type of taxes. Monetary policy is the process by which the government, central bank, or monetary authority manages the supply of money, or trading in foreign exchange markets.

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Q#212 According to the Laffer curve, as tax rates increase, tax revenues

Options:

- A. decrease continuously.
- B. initially decrease and then increase.
- C. rise continuously.
- D. initially increase and then decrease.

Correct Option: D

Page Number(s): 175

Ref Sentence by VU Stars: The graphical inverted-U relation between tax rates and total tax collections by government is known as Laffer curve. ... It is based on the notion that government collects zero revenue if the tax rate is 0% and if the tax rate is 100%. At a 100% tax rate no one has the incentive to work, produce, and earn income, so there is no income to tax. As such, the optimum tax rate, in which government revenue is maximized, lies somewhere between 0% and 100%. This generates a curve shaped like an inverted U, rising from zero to a peak, and then falling back to zero.

Q#213 The government imposes a new income tax legislation under which every male taxpayer must pay 15% of his income as taxes, while every female taxpayer must pay 20% of her income as taxes. Such tax legislation violates which equity principle?

Options:

- A. Both horizontal equity and vertical equity
- B. Vertical equity only
- C. Horizontal equity only
- D. Neither

Correct Option: C

Page Number(s): 173

Ref Sentence by VU Stars: Horizontal Equity: A less controversial principle relates to horizontal equity which says: identically well-off people should be taxed identically, i.e. no discrimination due to race, gender, caste, religion etc. There are many examples, however, of violation of this principle and often one comes across an individual belonging to a certain community or grouping enjoying certain economic privileges not enjoyed by a similarly endowed individual of another community or grouping.

Q#214 A 15% VAT is a(n):

Options:

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- A. Proportional income tax.
- B. Fixed excise duty.
- C. Ad valorem indirect tax.
- D. None of the above.

Correct Option: C

Page Number(s): 174

Ref Sentence by VU Stars: Value-added tax: A tax on the extra value added during each stage in the production of a good. ... It is an indirect tax.

Q#215 Tax incidence is the

Options:

- A. ultimate distribution of a tax's burden.
- B. measure of the impact the tax has on employment and output.
- C. behaviour of shifting the tax to another party.
- D. structure of the tax.

Correct Option: A

Page Number(s): 36

Ref Sentence by VU Stars: The incidence of taxation relates to how much of the tax's burden is being borne by consumers and producers.

Q#216 You know that all taxes are distortionary. Under what conditions will this knowledge lead you to oppose the imposition of every single tax in the economy?

Options:

- A. If you live in a 1st best world
- B. If you live in a 2nd best world
- C. If the tax rates on some of the items are prohibitively high
- D. Either of the above

Correct Option: A

Page Number(s): 174

Ref Sentence by VU Stars: Economists argue that a free-market perfect competitively economy where $P=MC$ automatically delivers the optimal allocation in the economy (Pareto-efficiency), so any government intervention (like tax) that interferes with that allocation generates efficiency losses. The efficiency (or welfare) loss of a tax can be illustrated by a simple demand supply diagram.

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Q#217 The automatic stabilisation function of fiscal policy ensures that government expenditures (i) and government revenues (ii) during recessions.

Options:

- A. (i) decrease (ii) decrease
- B. (i) decrease (ii) increase
- C. (i) increase (ii) decrease
- D. (i) increase (ii) increase

Correct Option: C

Page Number(s): 185

Ref Sentence by VU Stars: Note that in a Keynesian context; even a passive fiscal stance will produce an automatic stabilizer effect on aggregate demand. How? If AD falls, Y falls; tax collection falls, the net income tax rate falls, which is equivalent to a passive fiscal policy expansion. Also, when AD and Y fall, unemployment rises; which means more people become eligible for unemployment benefit, which in turn causes government expenditure to rise, which is again equivalent to a passive fiscal policy expansion.

Q#218 Let us say assume the Pakistani government is facing a fiscal deficit. Which of the following would not constitute a possible method of financing this deficit?

Options:

- A. printing rupees (borrowing from the central bank)
- B. selling dollars in the foreign exchange market
- C. imposing new taxes or raising existing tax rates
- D. borrowing from an international financial institution

Correct Option: B

Page Number(s): 185

Ref Sentence by VU Stars: The three borrowing options were mentioned earlier: i. Borrow from domestic banking system or general public through a sale of treasury bills and bonds. ... ii. Borrow from the central bank by ordering the latter to print money and lend it to the government. ... iii. Borrow from foreign sources either through bonds floated on international capital markets or bilateral, multilateral or commercial loans.

Q#219 Which of the following is not a correct argument against a fiscal policy expansion – say a tax cut – aimed at lifting aggregate demand?

Options:

- A. The expansion might become pro-cyclical ex-post, given the lag time required to change fiscal policy.

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- B. Fiscal policy works with a lag, thus a tax cut introduced today would not have an expansionary effect on aggregate demand till many months later.
- C. The fiscal expansion would increase distortion in the economy.
- D. Lower taxes would increase the government's borrowing requirement, which in turn would cause interest rates to rise, which in turn would i) cause the exchange rate to appreciate, which in turn would cause the current account to move into deficit, and ii) crowd out private investment.

Correct Option: B

Page Number(s): 185

Ref Sentence by VU Stars: In addition to the above, there is an argument that active fiscal policy cannot be changed without a time lag. The government passes its budget on an annual basis, and thus a mid-year change in AD which warrants a fiscal policy response must wait till the start of the next fiscal year.

Unfortunately, the demand conditions might have changed by that time!

Q#220 The increase in base money divided by the corresponding induced increase in commercial bank deposits is the

Options:

- A. bank's line of credit.
- B. reserve ratio.
- C. current ratio.
- D. money multiplier.

Correct Option:

Page Number(s): 186

Ref Sentence by VU Stars: Banks often resolve this trade-off by maintaining cash reserves which are a small ratio of total deposits. Thus if deposits are Rs. 100, banks might decide to keep Rs. 10 of that money in the form of a liquidity reserve (to meet the needs of depositors who might come to withdraw money on any particular day) and lend the remaining Rs. 90 as loans to businesses. In this case the reserve ratio is 10% (i.e. 10/100).

Q#221 If the State Bank of Pakistan wished to pursue a 'tight' monetary policy, it would

Options:

- A. lower the required reserve ratio and the statutory liquidity ratio.
- B. lower interest rates.
- C. buy government securities on the open market.

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D. sell government securities on the open market.

Correct Option: D

Page Number(s): 190

Ref Sentence by VU Stars: Open market operations (OMOs): Central banks conduct OMOs on a frequent basis. An OMO typically involves the central bank buying or selling government securities (T-bills and bonds) to commercial banks. ... In the reverse case, when the central bank sells securities in the market, the money supply contracts.

Q#222 An item designated as money that is intrinsically worthless could be

Options:

- A. a currency note.
- B. a silver coin.
- C. a barter item.
- D. any tradeable commodity.

Correct Option: A

Page Number(s): 186

Ref Sentence by VU Stars: Before paper money (and we are talking of not so long ago!), people used coins which had intrinsic value (gold, silver, bronze). Before that (and now we are talking of very long ago!) there was barter trade, where goods and services were exchanged for goods and services and there was no monetary medium of exchange, per se.

Q#223 A checking deposit (or current account) held at a commercial bank is considered _____ of that bank.

Options:

- A. an asset.
- B. net worth.
- C. a liability.
- D. capital.

Correct Option: C

Page Number(s): 187

Ref Sentence by VU Stars: They take deposits (i.e. borrow money) and make loans (i.e. lend money). ...
Balance sheet of bank A (Initial condition): Assets: Loans = 90, Reserves = 10. Liabilities: Deposits = 100.

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Q#224 Which of the following activities is one of the responsibilities of the State Bank of Pakistan?

Options:

- A. Monitoring the financial health of banks and non-bank financial institutions.
- B. Auditing the various agencies and departments of the government.
- C. Issuing bonds on international capital markets to finance the fiscal deficit.
- D. Loaning money to other countries that are friendly to Pakistan.

Correct Option: A

Page Number(s): 191

Ref Sentence by VU Stars: As supervisor of the financial system, it must ensure its good health by monitoring commercial banks' lending (risk-taking), capital adequacy, and liquidity positions. The central bank is also a monitor of the management and governance of financial institutions and of any other threats to the stability of the financial system.

Q#225 A bank has excess liquidity reserves to lend but is unable to find a willing borrower. This will _____ the size of the money multiplier.

Options:

- A. reduce
- B. increase
- C. have no effect on
- D. double

Correct Option: A

Page Number(s): 188

Ref Sentence by VU Stars: The higher the reserve ratio, the higher will be the leakages and thus the lower will be the money multiplier. In the extreme, when $rr = 100\%$, MM is 1, and $M2 = M0$.

Q#226 The quantity of money demanded increases with income. Thus if income increases, the opportunity cost of holding money must go up in order to reduce money demand and re-establish equilibrium in the money market. This relation is captured by:

Options:

- A. an upward sloping LM curve.
- B. a downward sloping L curve.
- C. a downward sloping IS curve.
- D. the circular flow of money in the economy.

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Correct Option: A

Page Number(s): 193

Ref Sentence by VU Stars: To see how this equilibrium responds to changes in income (Y), we can see that with a fixed M_s/P , increases in income will cause L to shift to the right, causing the equilibrium interest rate to rise. It is obvious that if we were plotting the equilibrium relationship in the money market in i -Y space, we would get an upward sloping line, since a rise in income causes a rise in interest rates.

Q#227 When economists speak of the 'demand for money,' which of the following questions are they asking?

Options:

- A. How much cash do you wish you could have?
- B. How much wealth would you like?
- C. How much income would you like to earn?
- D. What proportion of your financial assets do you want to hold in non-interest bearing forms?

Correct Option: D

Page Number(s): 191

Ref Sentence by VU Stars: Why people hold money? ... a. The transactions motive: ... b. Precautionary motive: ... c. Assets motive (also called speculative or investments motive): ... The assets demand for money is likely to increase with income ... and decrease with interest rates (because the interest rate is the opportunity cost of holding cash in your hands).

Q#228 Which of the following will not cause money supply to expand, given a fully floating exchange rate regime and a fixed supply of dollars in the market

Options:

- A. The central bank buying foreign currency in the foreign exchange market
- B. redemption of central bank liquidity paper
- C. build-up of commercial banks' deposits held with the central bank
- D. decrease in the central bank discount rate

Correct Option: B

Page Number(s): 189

Ref Sentence by VU Stars: Note, however, that SBP could technically issue liquidity paper (6) to help sweep up the liquidity it injected when purchasing dollars from the market. If this is done, then the rise in (6) will be mirrored by a fall in (4) and therefore the monetary implications of the foreign exchange market

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intervention would stand neutralized. This process, by which the increase in (4) is substituted by an increase in (6), is called sterilization.

Q#229 Which of the following events will lead to a decrease in the demand for money?

Options:

- A. An increase in the level of aggregate output.
- B. A decrease in the supply of money.
- C. A decrease in the interest rate.
- D. A decrease in the price level.

Correct Option: D

Page Number(s): 191

Ref Sentence by VU Stars: Generally, then, money demand M_d increases with income levels and falls with interest rates. ... The assets demand for money is likely to increase with income ... and decrease with interest rates.

Q#230 Which of the following is neither a determinant of the slope of the IS curve nor a determinant of the slope of the LM curve?

Options:

- A. the sensitivity of interest rates to investment
- B. the sensitivity of money demand to income
- C. the sensitivity of money demand to interest rates
- D. the sensitivity of income to investment

Correct Option: D

Page Number(s): 194-195

Ref Sentence by VU Stars: The slope of the IS curve, as you may have already guessed, depends on two factors: a. The sensitivity of investment demand to the interest rate ... b. The Keynesian multiplier (k)... The slope of the LM curve... If Y_{eL} is small then even a large change in Y will cause only a small change in money demand. Now if i_{eL} is large, only a small change in i will be required to bring money demand back to equilibrium levels ... In this case, the LM curve will be relatively flat. LM will be steeper the bigger is Y_{eL} and the smaller is i_{eL} .

Q#231 Given a Keynesian world, a cut in taxes coupled with a lower reserve ratio for banks would have what effect on equilibrium income and interest rate?

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Options:

- A. Both income and the interest rate will remain unchanged
- B. income will come down, but the interest rate will go up
- C. income will go up, but the effect on the interest rate cannot be predicted
- D. interest rates will go down, but the effect on income cannot be predicted

Correct Option: C

Page Number(s): 196

Ref Sentence by VU Stars: This takes us to the natural question: what if the government financed higher spending by either asking the central bank to print more money for it, or by borrowing from abroad? This is just another way of stating the question: “what if a government fiscal expansion and a monetary expansion were implemented simultaneously, i.e. the IS and LM curves both shifted to the right?” It is clear that in this case, the negative effects of higher interest rates can be eliminated.

Q#232 If the government increases its spending, but this causes prices to rise, what will “eventually” happen to the equilibrium income and interest rate?

Options:

- A. Both income and the interest rate will remain unchanged
- B. income will come down, but the interest rate will go up
- C. income will go up, but the effect on the interest rate cannot be predicted
- D. interest rates will go down, but the effect on income cannot be predicted

Correct Option: A

Page Number(s): 196-197

Ref Sentence by VU Stars: However, if the economy is not in recession and does not, per se, have excess capacity or slack, the above prescribed simultaneous fiscal and monetary expansions cannot succeed in increasing income or output. Why? The reason is prices, which we have so far assumed as constant. However, in reality prices respond readily to demand pressures and as the economy approaches the full employment level, expansionary monetary and fiscal policies will increasingly put pressure on prices to rise ... An increase in P will cause real money supply (M_s/P) to fall, which means the LM curve will shift back. In the goods market, on the other hand, rising prices cause aggregate demand to fall ... The net result is that there is no positive impact on equilibrium income.

Q#233 If the income elasticity of money demand and the Keynesian multiplier, both increase in an economy (ceteris paribus), how will the relative effectiveness of monetary and fiscal policy change?

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Options:

- A. Fiscal policy will become relatively more effective than monetary policy
- B. Fiscal policy will become relatively less effective than monetary policy
- C. The relative effectiveness of fiscal and monetary policy will remain unchanged
- D. Both fiscal and monetary policy will become more effective.

Correct Option: B

Page Number(s): 197

Ref Sentence by VU Stars: Drawing the IS-LM curves, it is easy to see that when the LM curve is relatively flat, any given fiscal expansion will cause a large effect on income and a relatively small effect on i . Thus, fiscal policy is more effective (desirable) in this setting. On the other hand, when the IS curve is relatively flat, any given monetary expansion will produce a larger impact on income. Monetary policy is more effective in this situation. An increase in income elasticity of money demand makes the LM curve steeper, making fiscal policy less effective and monetary policy more effective. An increase in the Keynesian multiplier makes the IS curve flatter, also making fiscal policy less effective and monetary policy more effective.

Q#234 The intersection of the IS and LM curves captures:

Options:

- A. the equilibrium of the demand and supply sides of the economy
- B. the equivalence of monetary and fiscal policy
- C. joint equilibrium in the goods and money markets
- D. all of the above

Correct Option: C

Page Number(s): 195

Ref Sentence by VU Stars: An upward sloping LM curve and a downward sloping IS curve is bound to provide an intersection point which represents joint equilibrium in the money and goods markets.

Q#235 Disposable Income is obtained by subtracting _____ taxes from personal income:

Options:

- A. Indirect Taxes
- B. Direct Taxes
- C. Subsidies
- D. None

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Correct Option: B

Page Number(s): 122

Ref Sentence by VU Stars: Disposable income is obtained by subtracting the amount of direct taxes from the personal income of the person.

Q#236 Per capita income is obtained by dividing National Income by:

Options:

- A. Total labor Force in the Country
- B. Unemployed Youth in the Country
- C. Total population of that country.
- D. None

Correct Option: C

Page Number(s): 122

Ref Sentence by VU Stars: Per capita income is obtained by dividing the national income by the total number of population.

Q#237 The investment demand curve shows the relationship between the levels of:

Options:

- A. Investment and Consumption
- B. Consumption and Interest Rate
- C. Investment and Interest Rate
- D. None

Correct Option: C

Page Number(s): 128

Ref Sentence by VU Stars: The investment demand curve shows the relationship between the level of investment and the cost of borrowing for the firm (i.e. the interest rate), plotted in i-I space.

Q#238 The situation in which the imports are greater than exports is termed as:

Options:

- A. Trade Surplus
- B. Trade Deficit
- C. Budget Surplus
- D. None

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Correct Option: B

Page Number(s): 129

Ref Sentence by VU Stars: A negative trade balance is called a trade deficit.

Q#239 Fiscal policy is the government programme with respect to it's:

Options:

- A. Steel Mill Privatization
- B. Unemployment Reduction
- C. Expenditure and Tax revenue
- D. None

Correct Option: C

Page Number(s): 129

Ref Sentence by VU Stars: Fiscal Policy is a government program with respect to i) expenditure (G): the purchase of goods and services and spending in the form of subsidies, unemployment benefits etc. and ii) tax revenue (T): the amount and type of taxes.

Q#240 Imports for any economy are considered as:

Options:

- A. Injections
- B. Leakages
- C. Brain Drain
- D. None

Correct Option: B

Page Number(s): 124

Ref Sentence by VU Stars: Savings, taxes and imports are examples of leakages as this money does not fall as expenditure on goods and firms produced by domestic firms.

Q#241 The accelerator is a related concept which formalizes the investment response to:

Options:

- A. Consumption
- B. Interest rate
- C. Output
- D. None

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Correct Option: C

Page Number(s): 134

Ref Sentence by VU Stars: The accelerator is a related concept which formalizes the investment response to output or income changes in an economy.

Q#242 According to Keynes macroeconomic equilibrium is attained when:

Options:

- A. Prime Minister is PhD in Macroeconomics
- B. Aggregate Demand Equals Aggregate Supply
- C. Inflation Exists in Economy.
- D. None

Correct Option: B

Page Number(s): 125

Ref Sentence by VU Stars: Macroeconomic equilibrium in a Keynesian sense obtains when total injections equal total leakages (or total withdrawals), or aggregate supply equals aggregate demand.

Q#243 There are _____ methods of measuring GDP:

Options:

- A. Four
- B. Three
- C. Five
- D. None

Correct Option: B

Page Number(s): 118

Ref Sentence by VU Stars: There are three equivalent ways of measuring GDP: i. The product or value added method... ii. The expenditure method... iii. The factor income method.

Q#244 Intermediate goods are meant for:

Options:

- A. Direct use by the consumers
- B. further processing
- C. The term do not exist
- D. None

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Correct Option: B

Page Number(s): 119

Ref Sentence by VU Stars: Intermediate goods are those that are intended for further processing.

Q#245 Fiscal policy refers to:

Options:

- A. The actions of the central bank in controlling the money supply.
- B. The spending and taxing policies used by the government to influence the economy.
- C. The government's regulation of financial intermediaries.
- D. None of the given options.

Correct Option: B

Page Number(s): 129

Ref Sentence by VU Stars: Fiscal Policy is a government program with respect to i) expenditure (G): the purchase of goods and services and spending in the form of subsidies, unemployment benefits etc. and ii) tax revenue (T): the amount and type of taxes.

Q#246 Disposable income is:

Options:

- A. Total income plus transfer payments
- B. Total income minus saving.
- C. Total income plus net taxes.
- D. Total income minus net taxes.

Correct Option: D

Page Number(s): 122

Ref Sentence by VU Stars: Disposable income is obtained by subtracting the amount of direct taxes from the personal income of the person.

Q#247 The deficit tends to decrease when:

Options:

- A. GDP decreases slightly.
- B. GDP decreases rapidly.
- C. GDP increases.
- D. GDP remains unchanged.

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Correct Option: C

Page Number(s): 185

Ref Sentence by VU Stars: If AD falls, Y falls; tax collection falls. So when GDP increases, tax collection increases, reducing the deficit.

Q#248 Money or paper currency serves at least _____ functions:

Options:

- A. Four
- B. Three
- C. Five
- D. Seven

Correct Option: B

Page Number(s): 186

Ref Sentence by VU Stars: Money or paper currency serves at least three functions: it is a medium of exchange, a store of value and a unit of account.

Q#249 The economic logic behind granting central banks independence from government in the conduct of monetary policy is:

Options:

- A. To eliminate seignior age.
- B. To allow open market operations.
- C. To enhance the credibility of monetary policy.
- D. None of the above.

Correct Option: C

Page Number(s): 191

Ref Sentence by VU Stars: In most HICs, central banks enjoy a fair degree of autonomy (and this is cited as one reason for the stability of their monetary and financial sectors).

Q#250 An expansionary fiscal policy can:

Options:

- A. Raise the national debt.
- B. Decrease the national debt.
- C. Have no effect on national debt.

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D. None of above.

Correct Option: A

Page Number(s): 185

Ref Sentence by VU Stars: Expansionary fiscal policies can raise the national debt (as you know, national debt is simply an accumulation of past fiscal deficits).


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